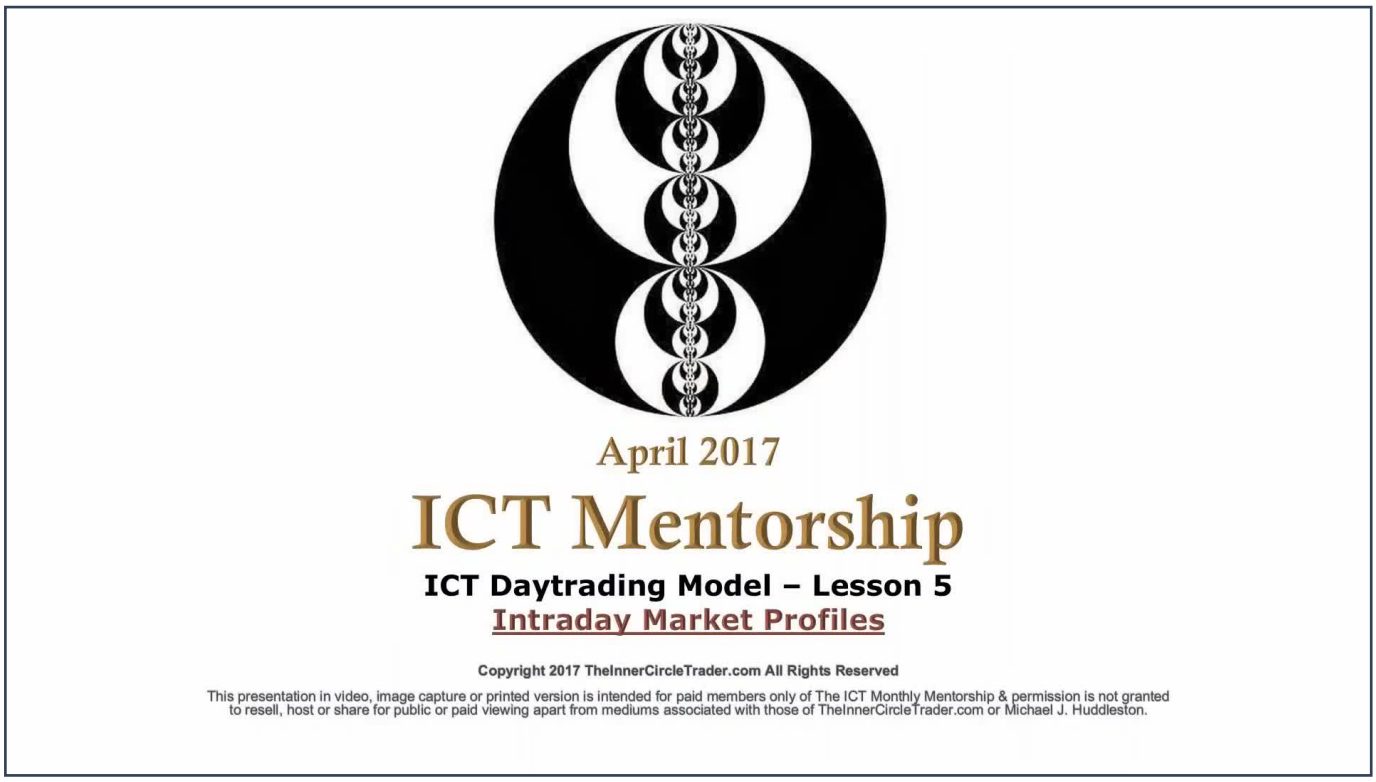
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 08 - INTRADAY PROFILES



Welcome to lesson five of the April 2017 ICT mentorship, focusing on the ICT day trading model. This teaching specifically deals with intraday market profiles. We will begin with the sell profile, specifically the London normal protraction.

CLASSIC SELL DAY: LONDON NORMAL PROTRACTION - INITIAL CRITERIA

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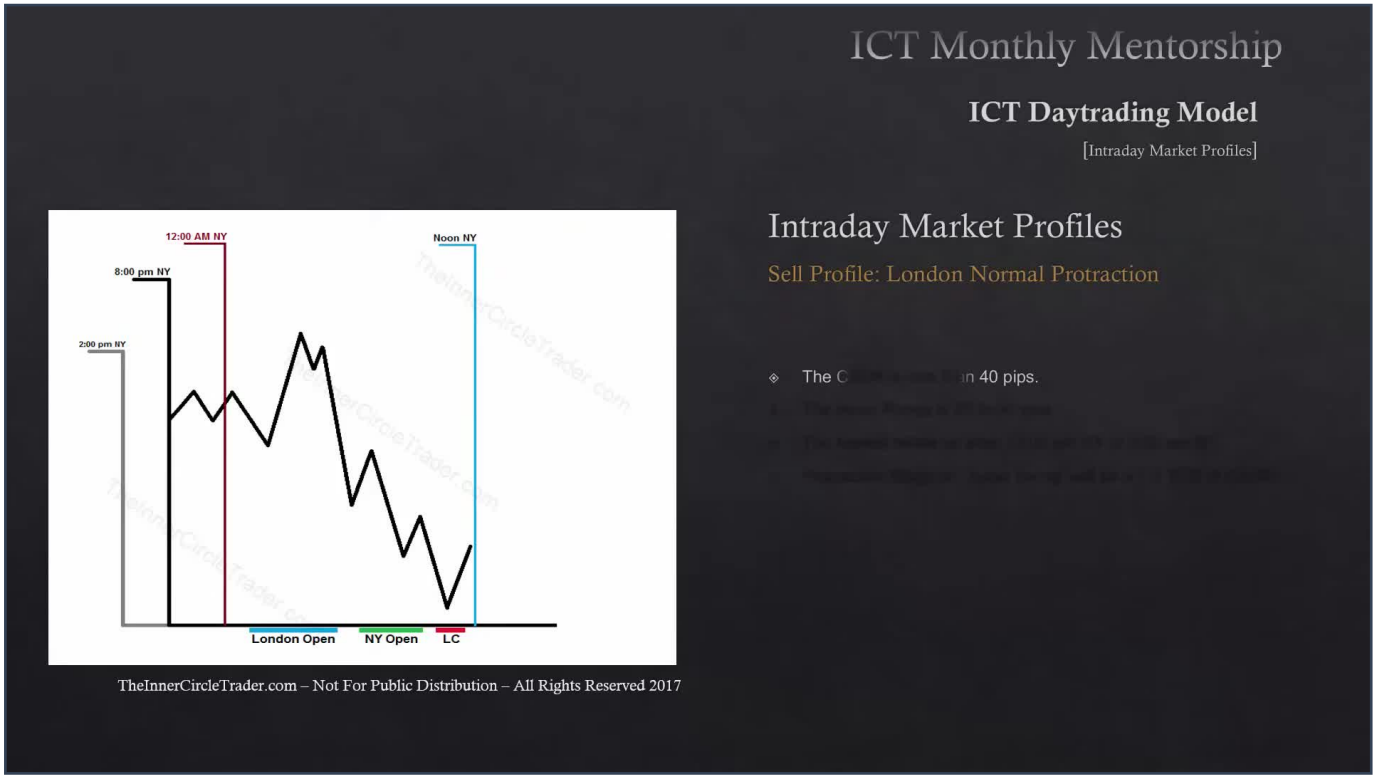


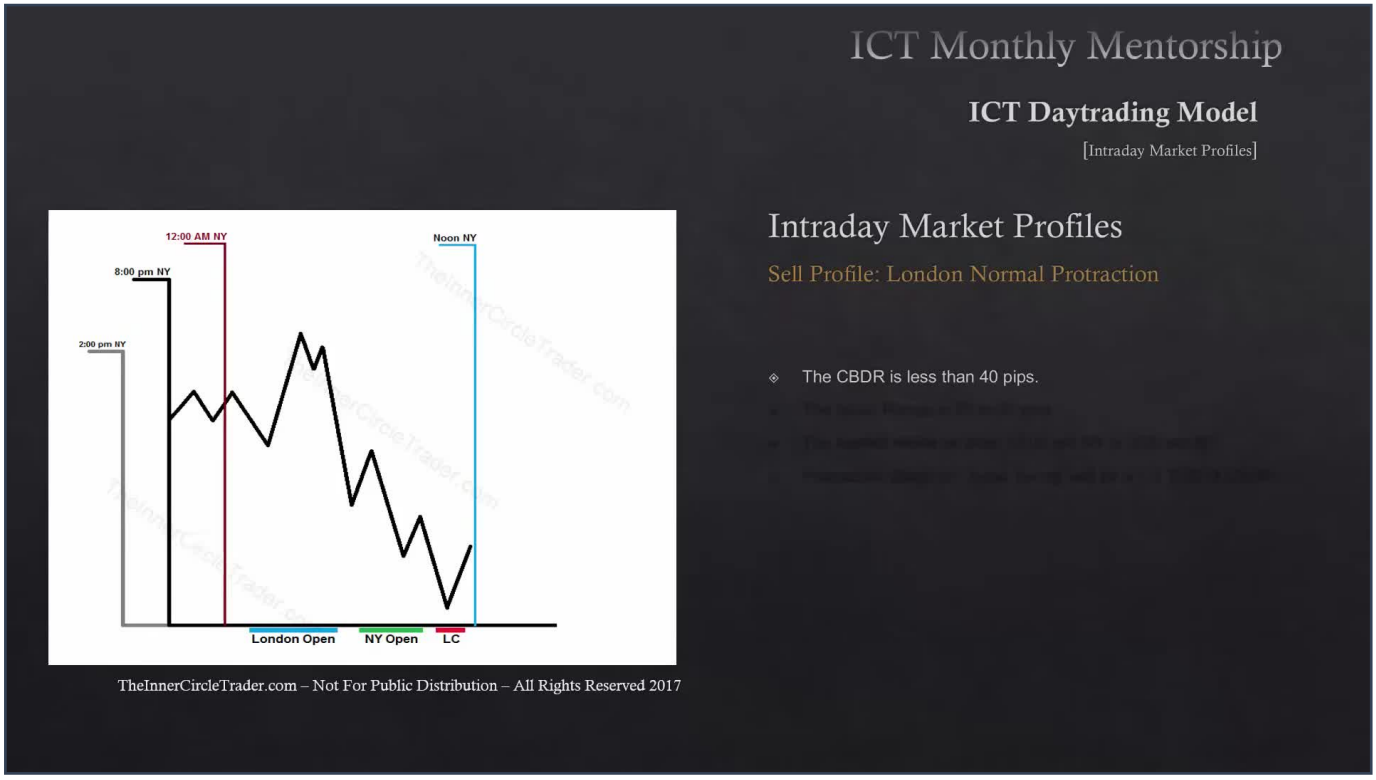
For a classic sell day for intraday trading, you'll observe many deviations and subtle variances. However, ideal scenarios will look very close to what is outlined here. You start with the Central Bank Dealers Range (CBDR).

- For a classic or high probability London normal protraction sell day, the CBDR is going to be less than 40 Pips.

- If the CBDR is greater than 40 Pips, this is not going to be this profile. You would then consider other profiles or decide not to trade London.

ASIAN SESSION RANGE AND LONDON HIGH FORMATION

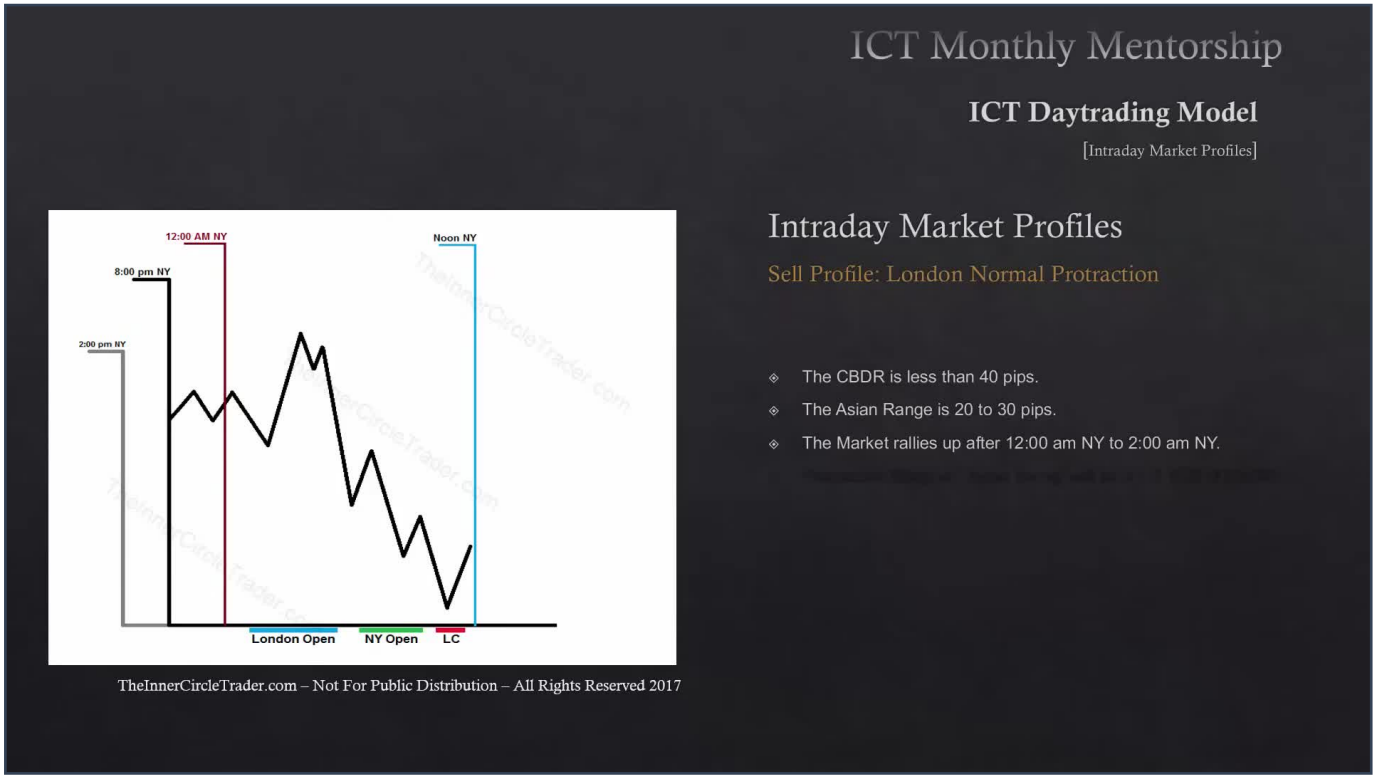
TIMESTAMP: 00:01:53



The Asian session range, between 8:00 PM and midnight New York time, should also have a classic range of 20 to 30 Pips. If it's larger than that, this profile will typically not be existing. Typically, the market will rally up after 12:00 AM New York time to 2:00 AM New York time. This is because you are already looking for a bearish move, with the Daily chart indicating lower prices, so we're looking for the London High to form.

LONDON NORMAL PROTRACTION SELL DAY - KEY TIMINGS AND FILTERS

TIMESTAMP: 00:02:41

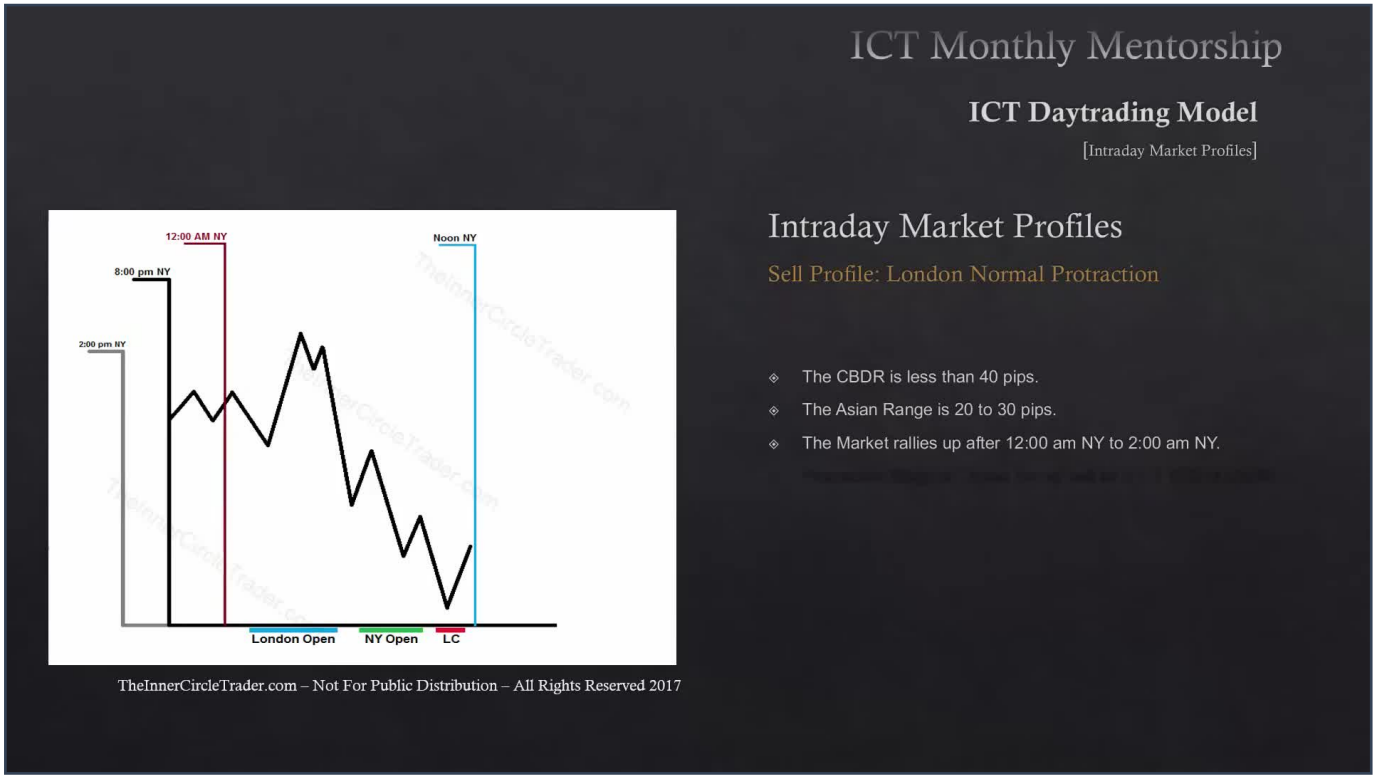


The high probability scenario for this profile to unfold requires you to observe price immediately starting to trade up from midnight New York time. If it does not start trading up into 2:00 AM New York time, that is not this profile.

- Filter 1: Central Bank Dealers Range must be less than 40 Pips.

- Filter 2: Asian range must be 20-30 Pips.

- Filter 3: Price must rally after 12:00 AM New York time into 2:00 AM. If this does not occur, it is not the London normal protraction sell day.

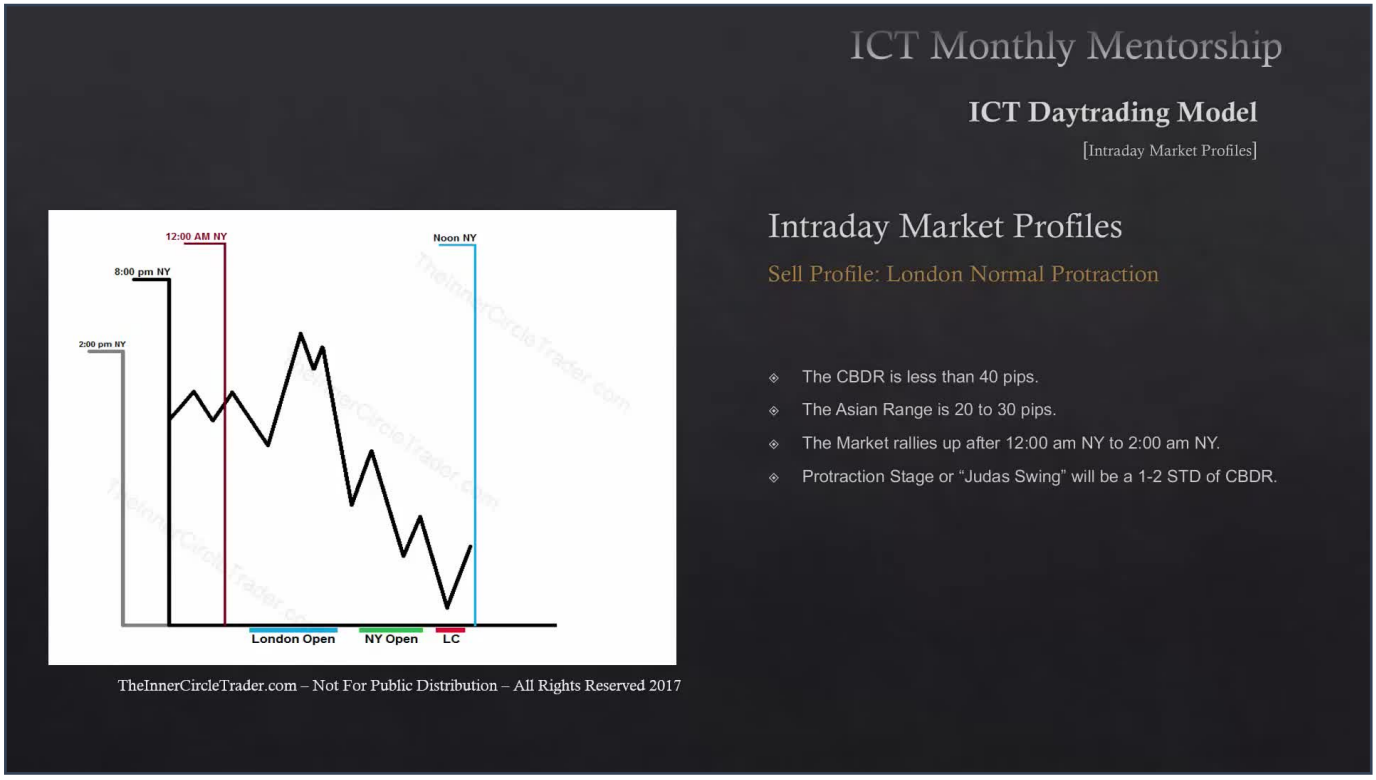


The protractionary stage, or 'Judas Swing', will be one to two standard deviations of the Central Bank Dealers Range. This is the ideal scenario for trading London. If these specific criteria, these 'ingredients', are not present, I will not be trading London.

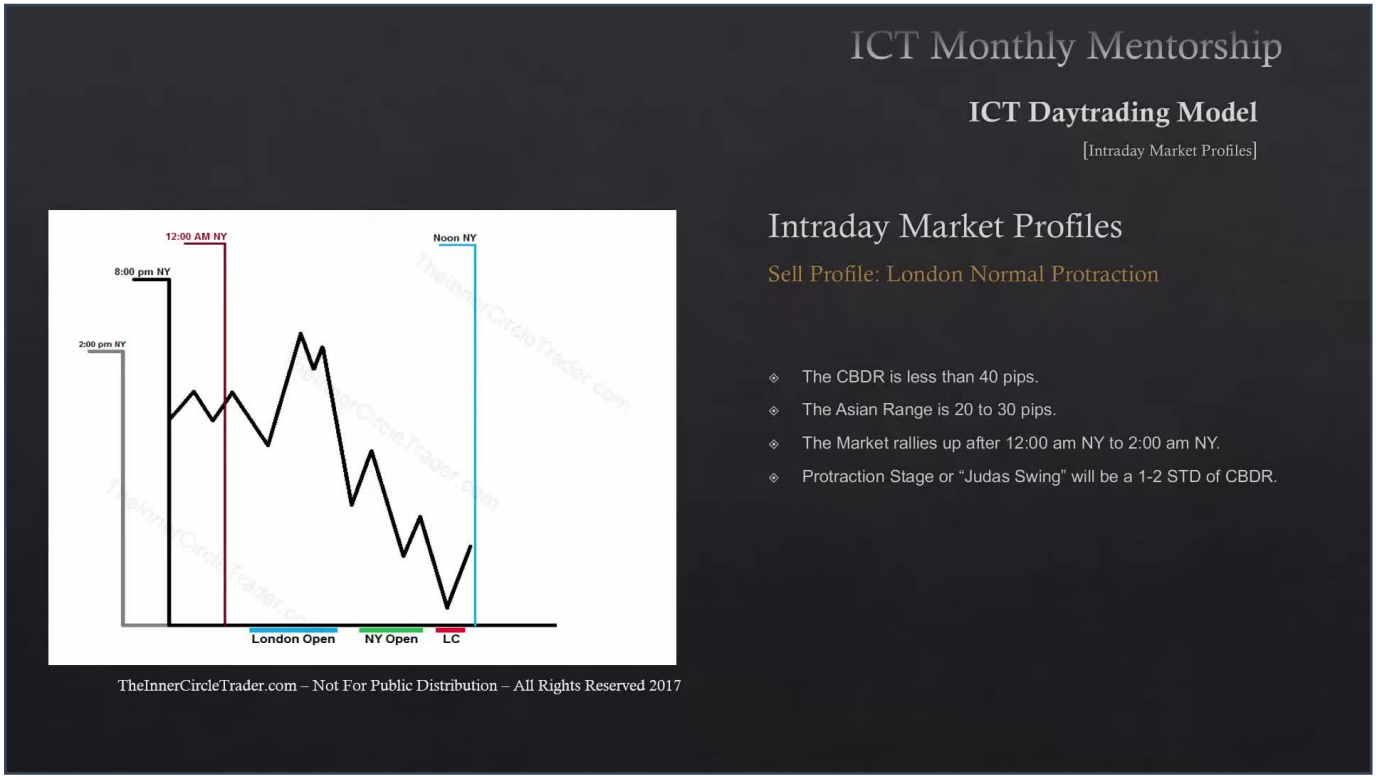
- If the CBDR is greater than 40 Pips, it indicates a lot more late afternoon New York session price action, meaning an extended range. This can mess up their model for allowing float to build. You want to see consolidation between 2:00 PM to 8:00 PM New York time.

CBDR AND ASIAN RANGE INTERPLAY FOR LONDON NORMAL PROTRACTION

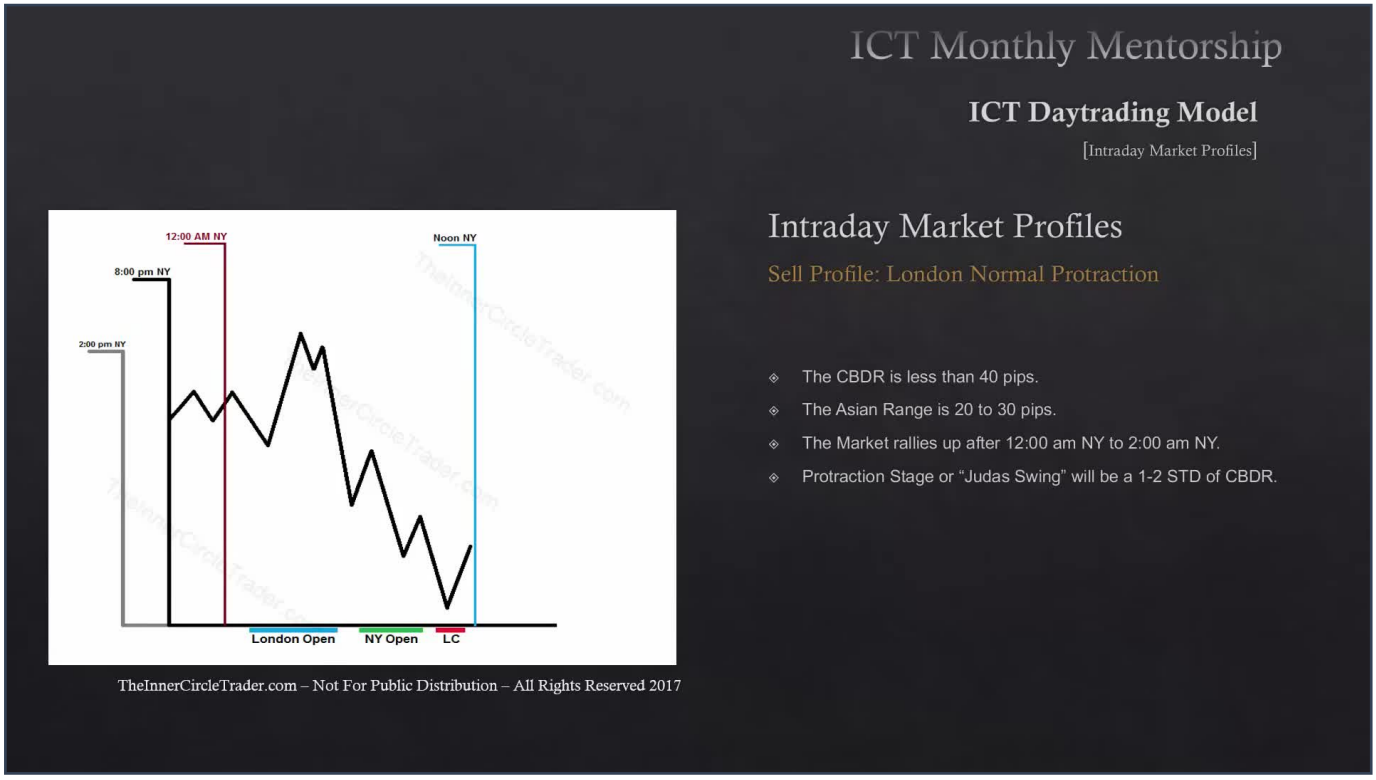
TIMESTAMP: 00:04:47



If the Central Bank Dealers Range is wider than 40 Pips, but the Asian range consolidates down to a 20 to 30 pip range, then you can still consider this profile. This consolidation between 8:00 PM and midnight New York time allows orders to build up. The market again has to rally immediately after midnight New York time, and you want to see that sustained movement higher, moving up towards the 2:00 AM hour in New York time. This creates the initial move, the protraction state.



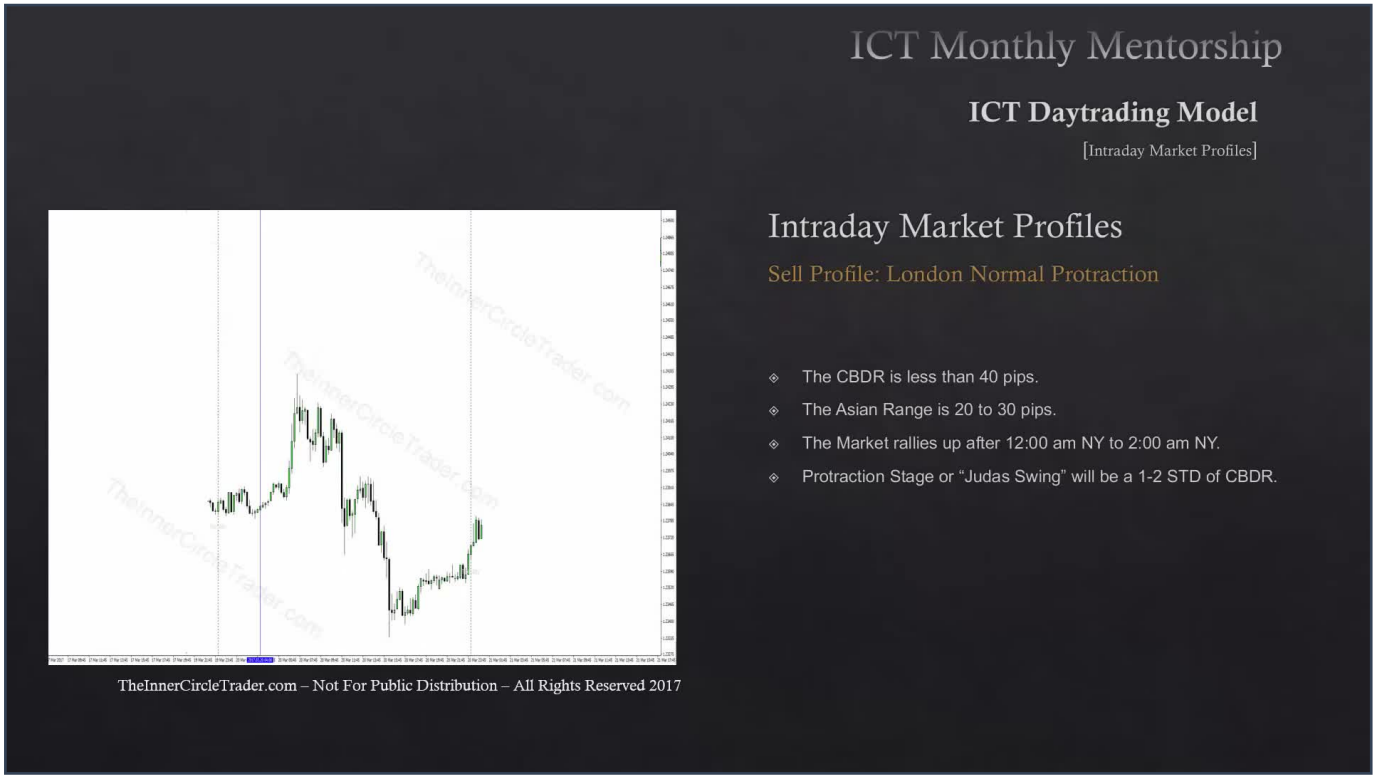
You are looking for the move to be going up, but the entry can occur as early as 1:30 AM New York time. You want to see immediate movement up after 12:00 AM. It might have a small, modest move down after 12:00 AM, but it's expected to turn up shortly after midnight. By 1:00 AM to 1:30 AM, price should have made a higher high than what was seen in the Asian or Central Bank Dealers Range. This is the protraction stage.



Ideally, price will trade up from 12:00 AM to 2:00 AM. That movement up is IPA (Interbank Price Action) expanding the range with a protraction state, sucking in buyers, or squeezing people with stops just above the marketplace who are already short. When the protractionary stage or Judas swing occurs, we're looking for one to two standard deviations of the Central Bank Dealers Range. If all these criteria are met, you typically nail the high of the day between 2:00 AM and 4:00 AM for your classic sell profile London normal protraction.

VISUAL EXAMPLE: LONDON NORMAL PROTRACTION SELL

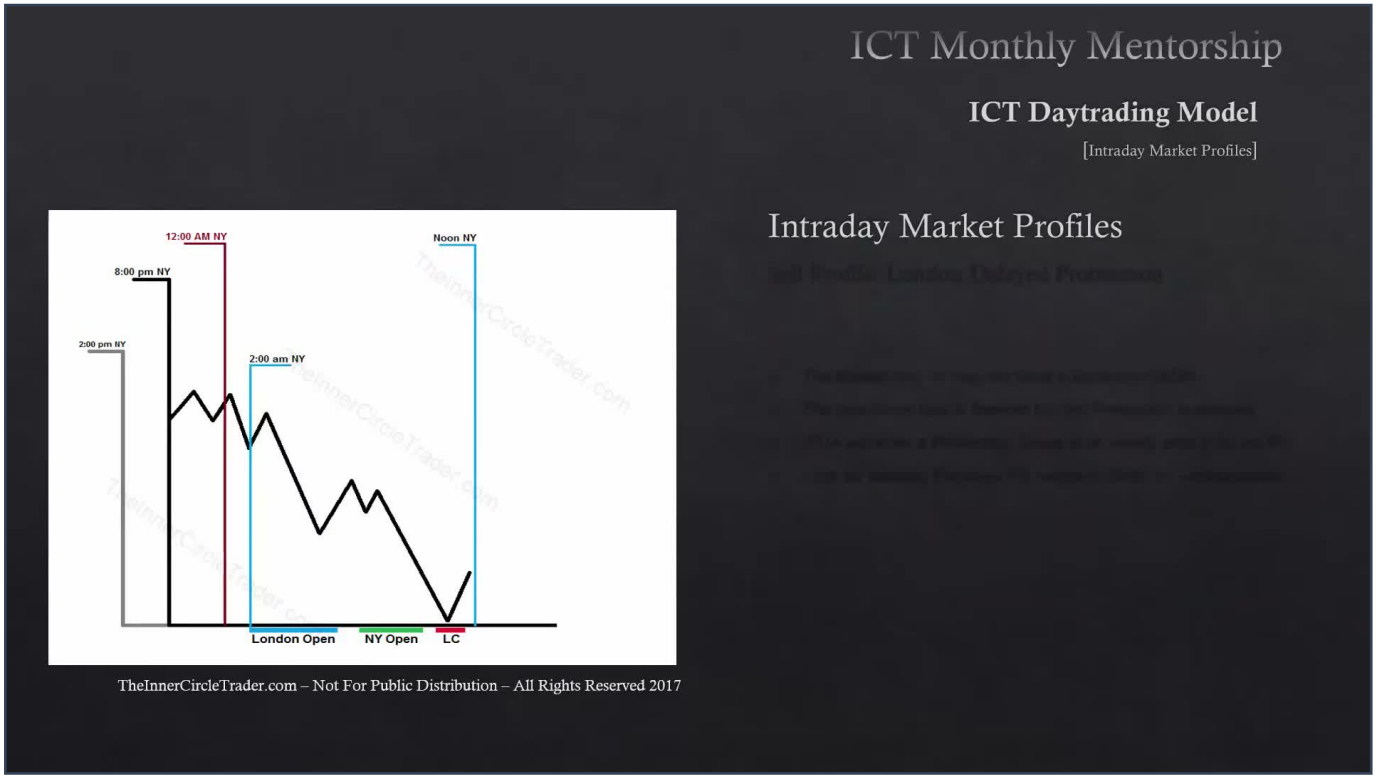
TIMESTAMP: 00:07:29



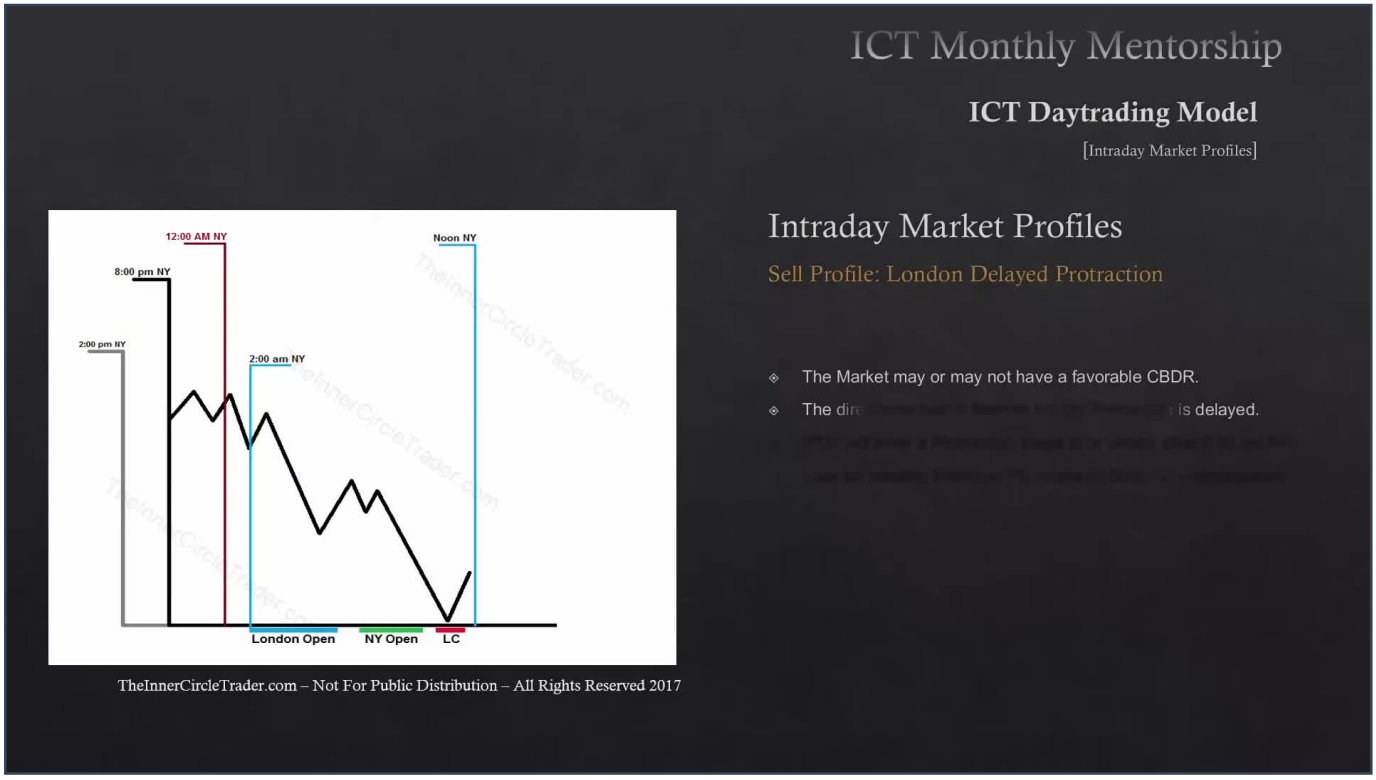
As an example, you would see a small consolidated Asian range. Immediately after midnight, price goes straight up, creates the high of the day, and then trades down, creating the low of the day around the London close time period, before consolidating off the low. The protraction stage is seen immediately after that midnight candle.

SELL PROFILE: LONDON DELAYED PROTRACTION - INTRODUCTION

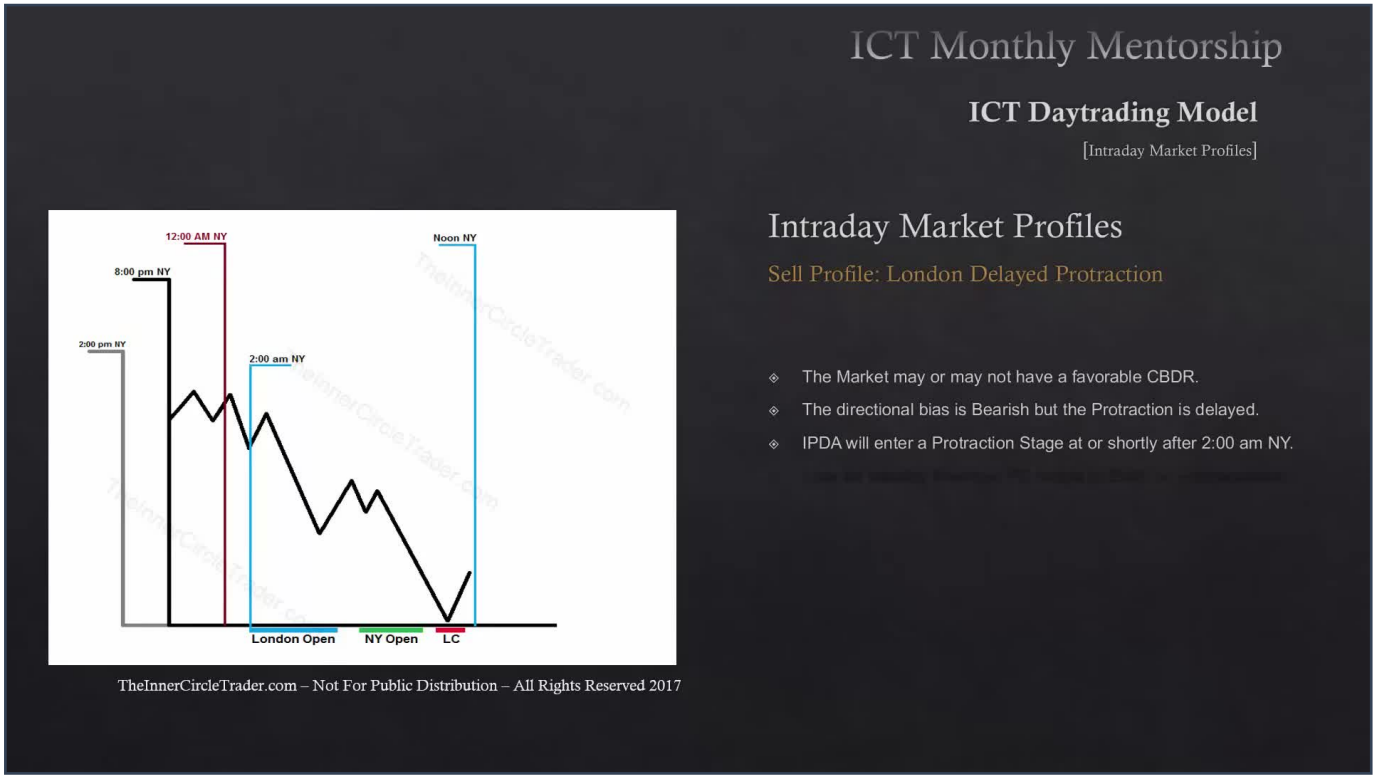
TIMESTAMP: 00:08:08



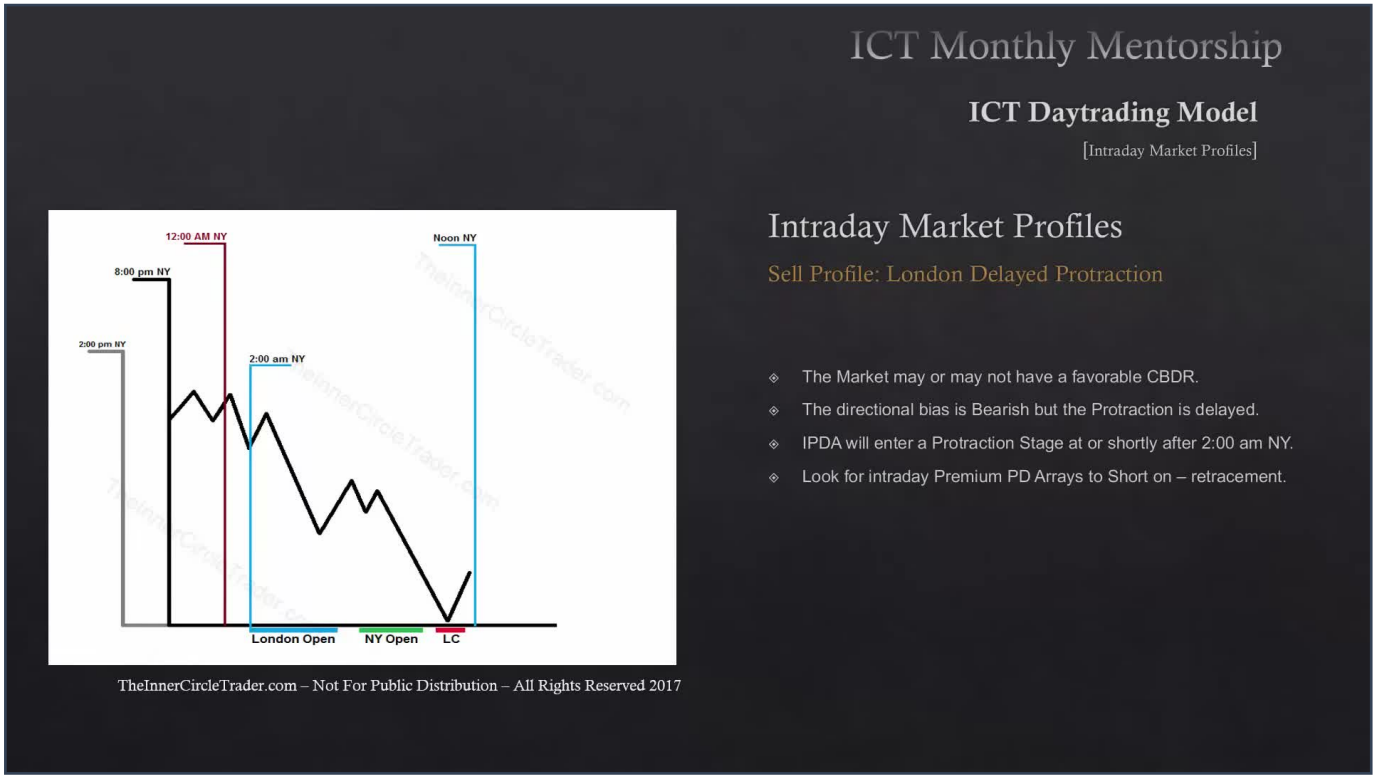
Continuing to our sell profile with London delayed protraction. In this scenario, the market may or may not have a favorable Central Bank Dealers Range. This means the CBDR could be less than 40 Pips (ideal stage set) or greater than 40 Pips. This profile can go either way concerning the CBDR.



The directional bias is going to be bearish, but the protraction stage is going to be delayed in the day. In other words, we're not going to see the rally right after midnight New York time; it may just erode and go lower. IPA will enter a protractionary stage at or shortly after 2:00 AM New York. You should have a vertical line on your 15-minute time frame and be looking for price to stage a rally at or just shortly after 2:00 AM.



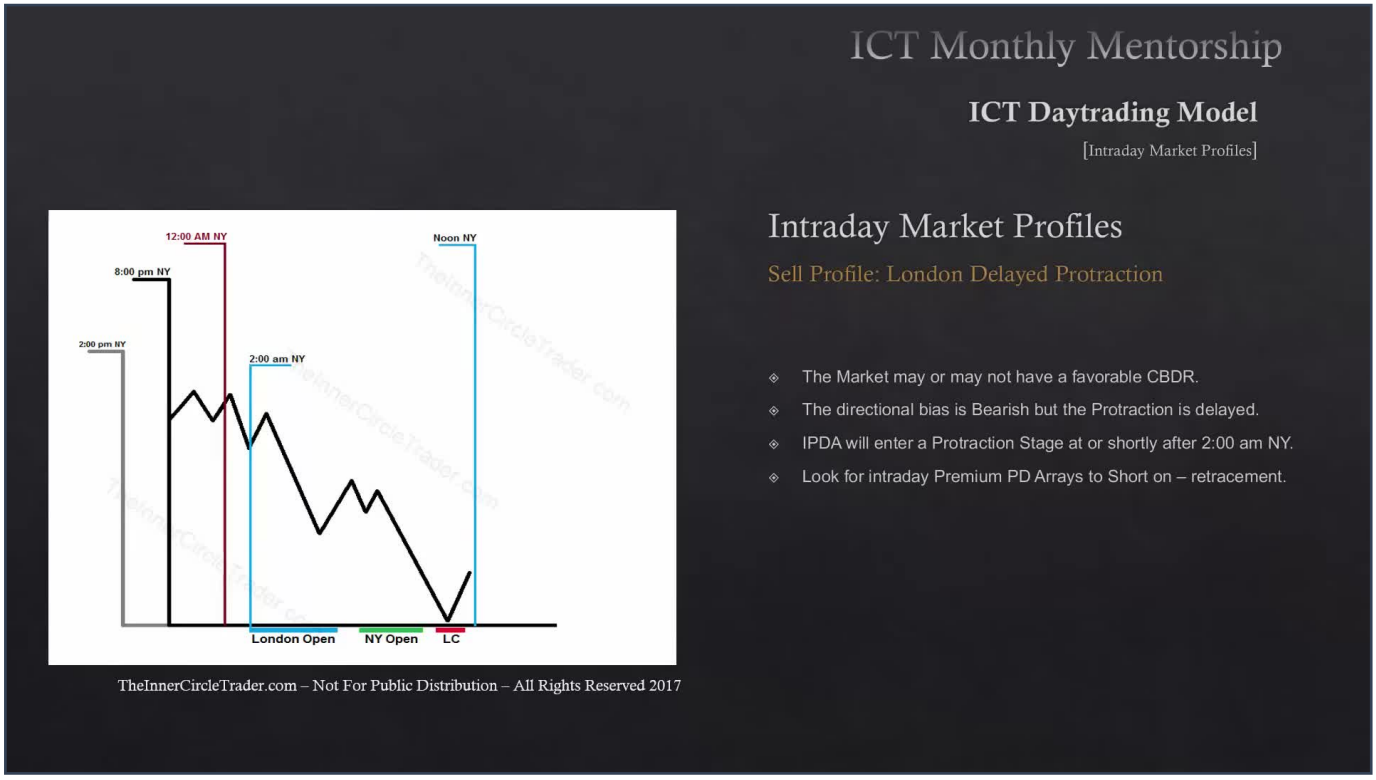
That rally is going to be an intraday move inside the already existing range or inside the high already formed for the day; it's going to be creating a smaller little Judas swing. It's going to rally up from 2:00 AM, making your London entry come to fruition. You'll be looking for an intraday premium PD array to short on inside that retracement. This retracement will occur at or just after 2:00 AM when the market does not create that 12:00 AM New York time rally. In other words, price does not go into a contractionary stage higher after midnight; it just rolls over, goes soft, and makes a progressively lower move going into 2:00 AM.



Draw a vertical line at 2:00 AM and wait for a retracement higher. That will be IPA's protraction stage. It will not want to make a higher high, and price will go to a premium PD array, such as a bearish order block close, a fair value gap, or a liquidity void, and then you'll be selling short on the day. The primary premise for this is that you already have to have a bearish outlook, with the daily respecting resistance ideas and seeking sell-side liquidity.

KEY FILTER AND VISUAL EXAMPLE: LONDON DELAYED PROTRACTION SELL

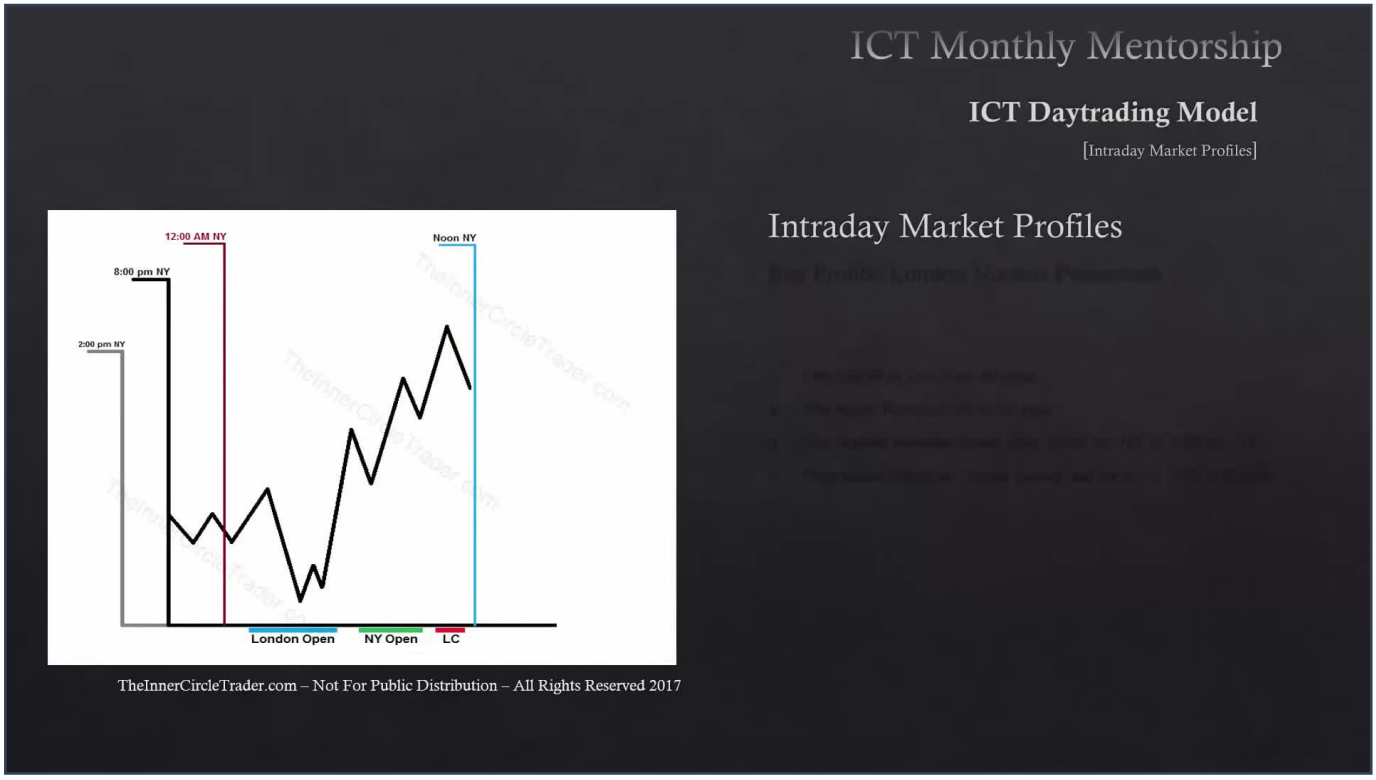
TIMESTAMP: 00:10:28



If you have those criteria, this is the London delayed protraction profile to trade off of. The key is having that 2:00 AM time frame; there must be a rally up at or just after 2:00 AM, trading up into a premium PD array on the 15-minute chart. An example would be seen where price rolls over, doesn't make any higher high, then we have a protraction stage right after 2:00 AM (7 GMT, which is 2:00 AM NY). Price creates a rally, trades back up into a bearish order block, and then creates the London session high, trading lower.

BUY PROFILE: LONDON NORMAL PROTRACTION - INTRODUCTION

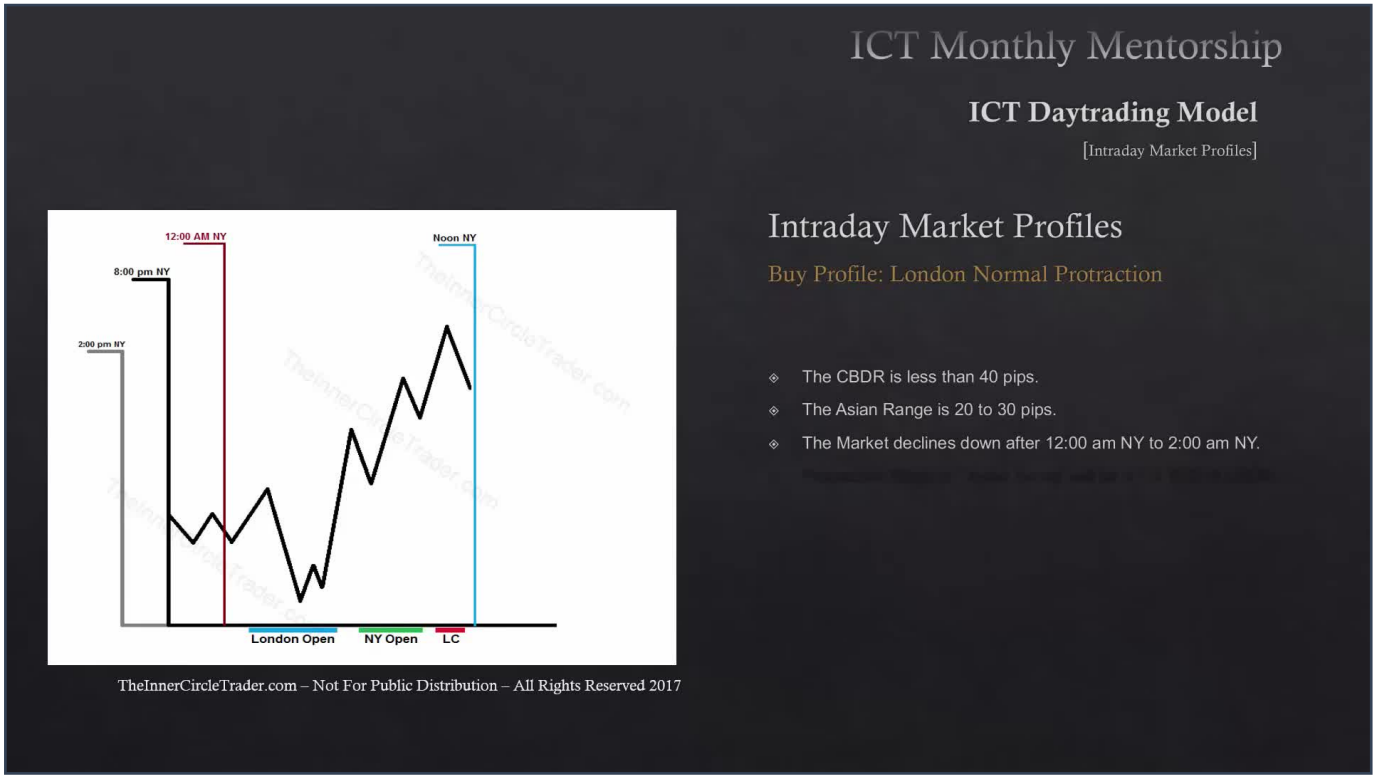
TIMESTAMP: 00:11:27



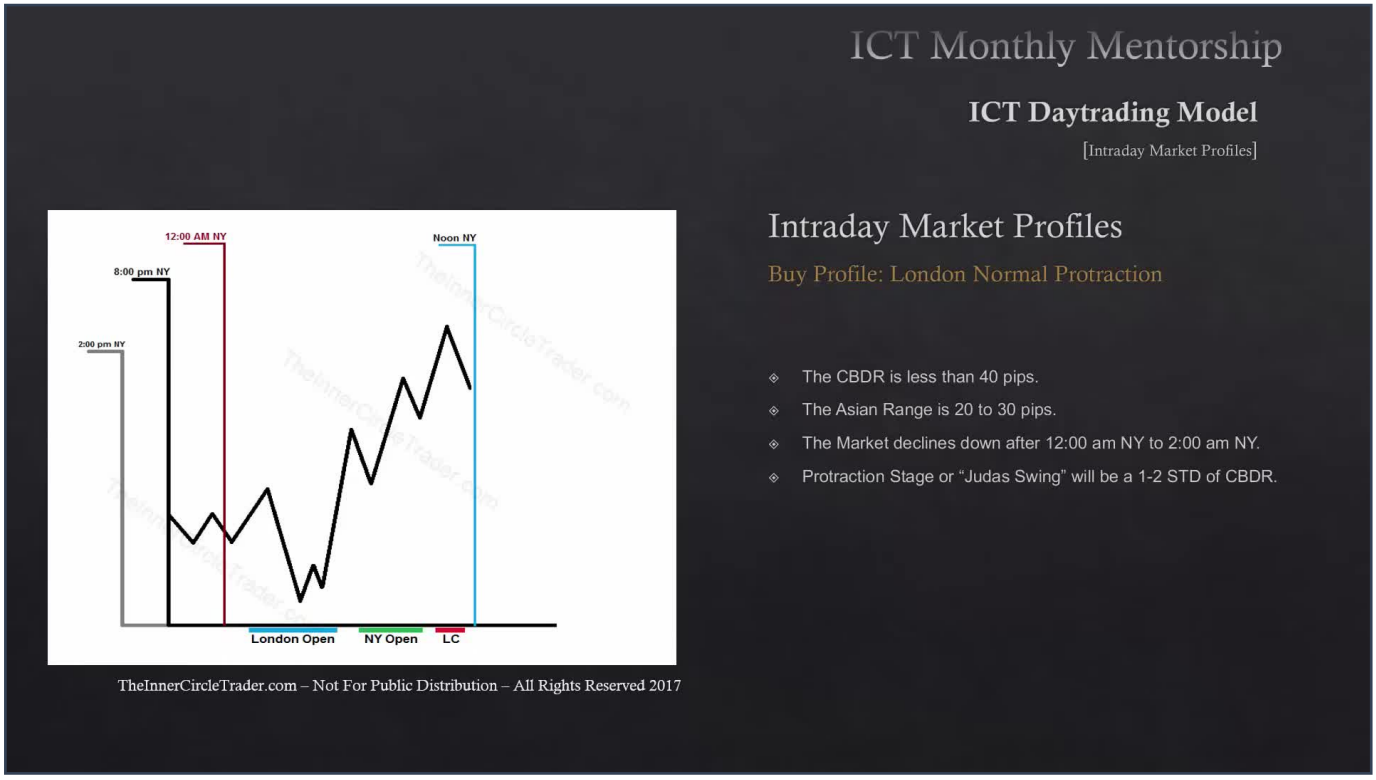
Now we're going to look at the buy profiles. This is the one I like to trade when looking to buy in the London session: the London normal protraction stage. Again, the Central Bank Dealers Range is going to be less than 40 Pips. The Asian range is 20 to 30 Pips, indicating a narrow consolidation.

BUY PROFILE CHARACTERISTICS: DECLINE AND PROTRACTION STAGE

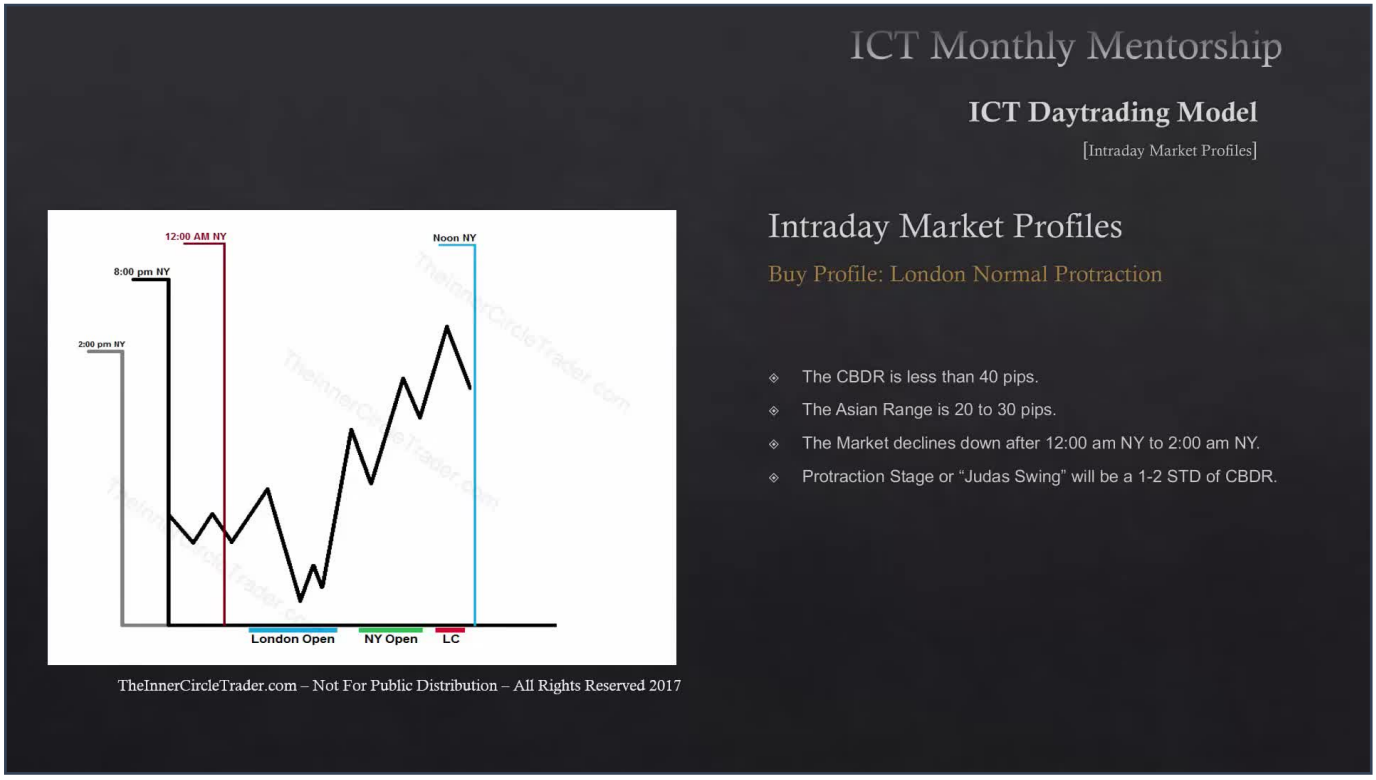
TIMESTAMP: 00:11:53



The market's going to decline lower after 12:00 AM New York time into 2:00 AM New York. That's the fingerprint that IPA is doing what we're outlining here. So, if we do not see an immediate decline from 12:00 AM New York down into 2:00 AM New York, this is not going to be a London normal protraction buy day. The protractionary stage or Judas swing will be one to two standard deviations of the Central Bank Dealers Range.



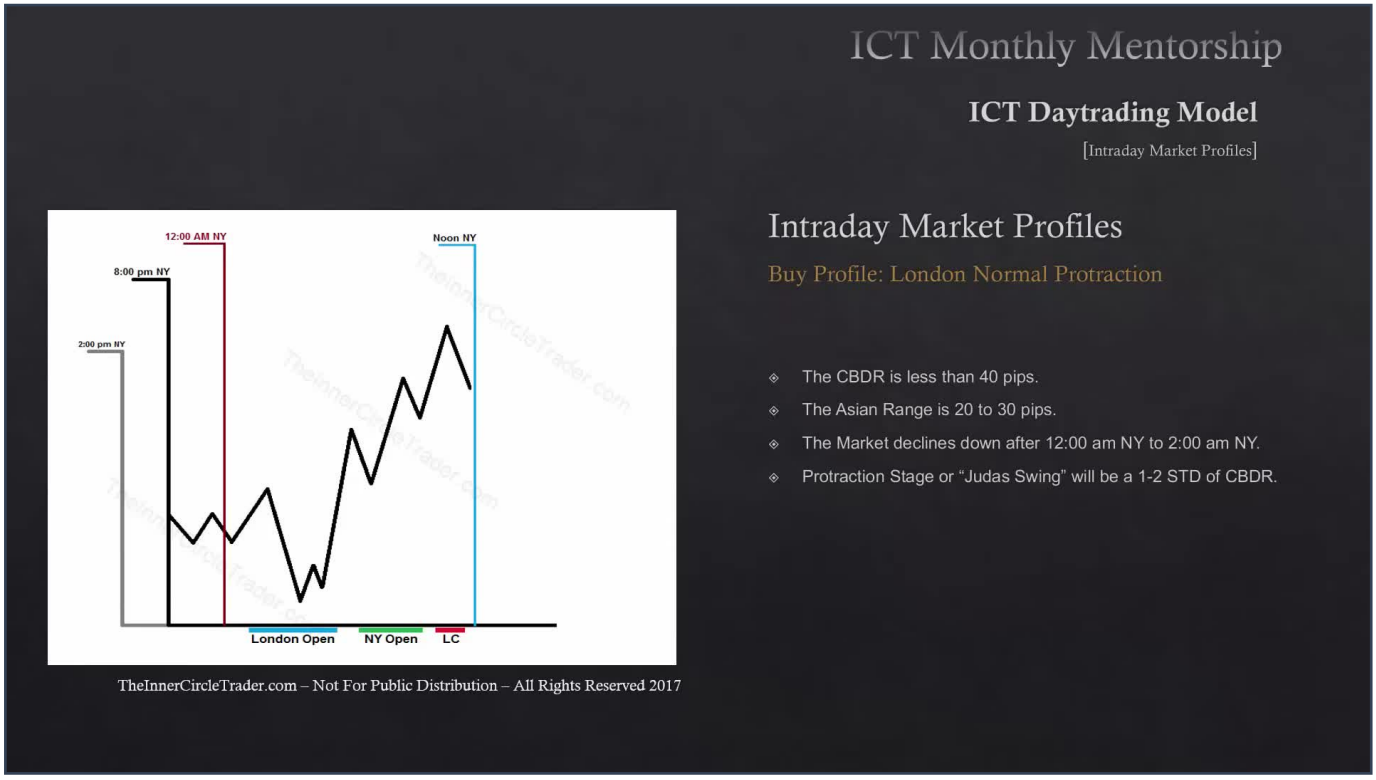
What we're looking at here is a Central Bank Dealers Range that is less than 40 Pips, indicating they are consolidating the late New York session going into Bond close. The Asian range also has a small, narrow 20 to 30 pip range, meaning they are allowing orders to build up above and below the marketplace. The market starts dropping immediately after 12:00 AM New York time at midnight and trades lower down into 2:00 AM.



The London low can form just ahead of 2:00 AM, but we're looking for price to be trending towards or making lower lows going into that 2:00 AM time period. The market can start with an initial, very modest move up after 12:00 AM, but it has to start trending lower after 12:00 AM or shortly thereafter. It has to consistently move lower past ideally 1:00 AM, 1:30 AM. Right about then, you have a confirmation that the London normal protraction buy profile is unfolding. You're going to be looking for that Judas swing or protraction stage in the marketplace to reach down one to two standard deviations in the Central Bank Dealers Range, and that'll be your projected low.

VISUAL EXAMPLE: LONDON NORMAL PROTRACTION BUY

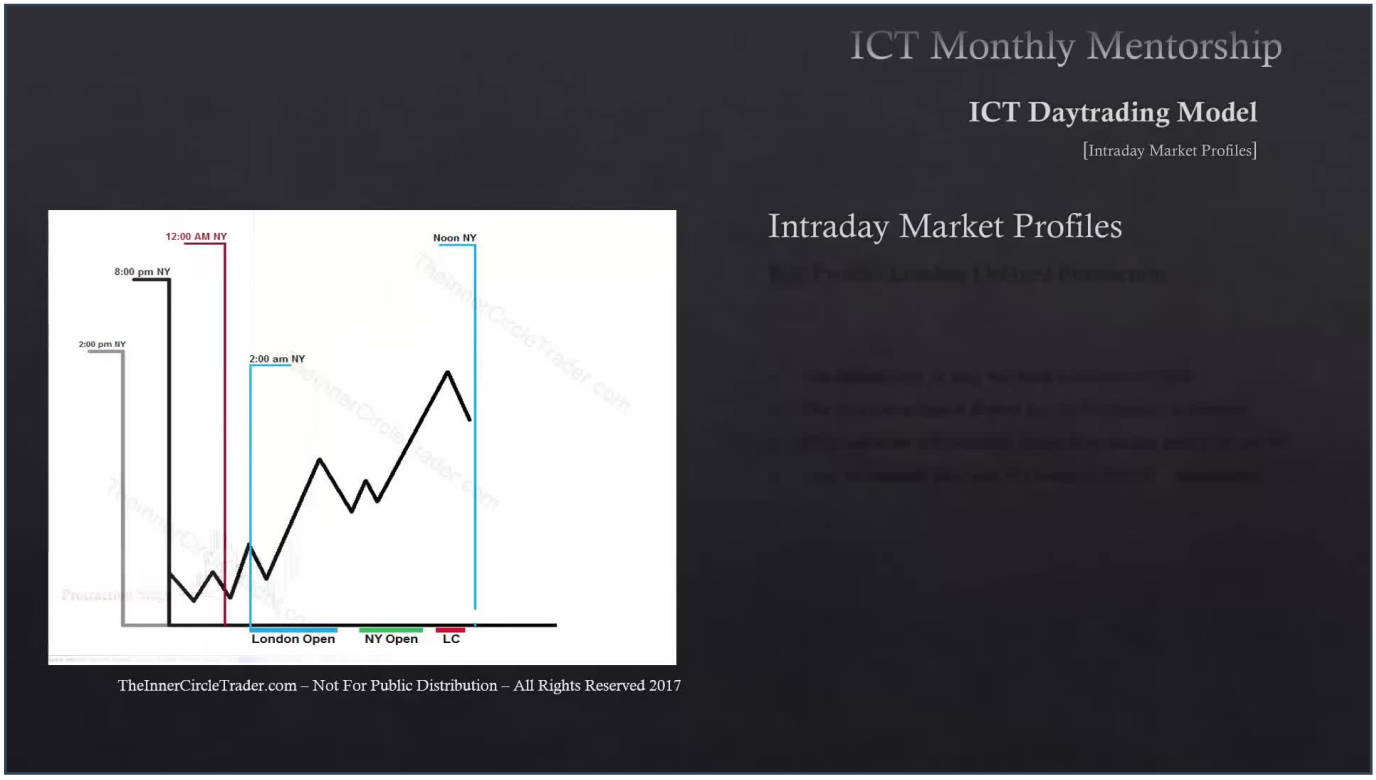
TIMESTAMP: 00:13:51



An example is seen here: the market enters a small CBDR and the Asian range is also a respectable range in terms of pips. Then, price drops lower right after the midnight candle, finds the low of the day, and expands up for a higher close. You can see here this is the protraction stage immediately after 12:00 AM New York time.

BUY PROFILE: LONDON DELAYED PROTRACTION - INTRODUCTION AND FLEXIBILITY

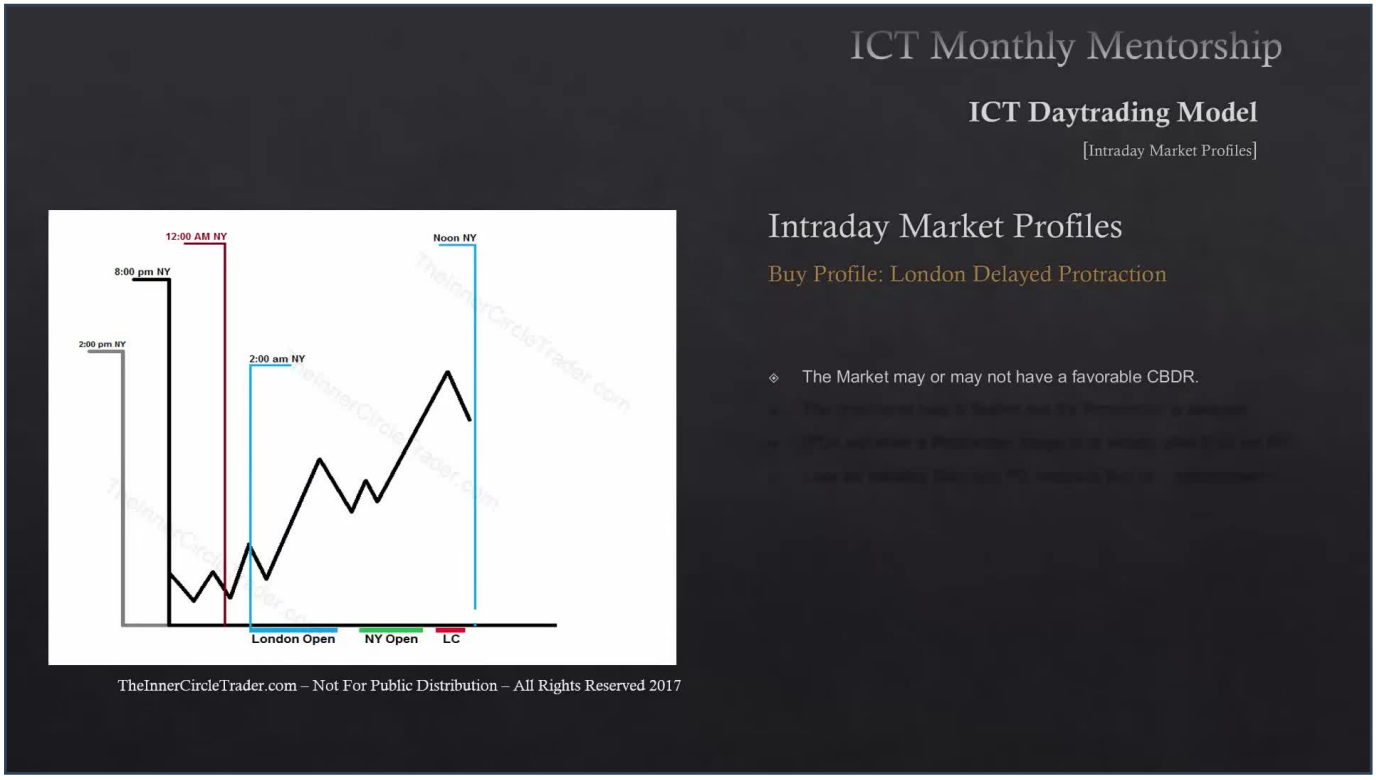
TIMESTAMP
00:14:32



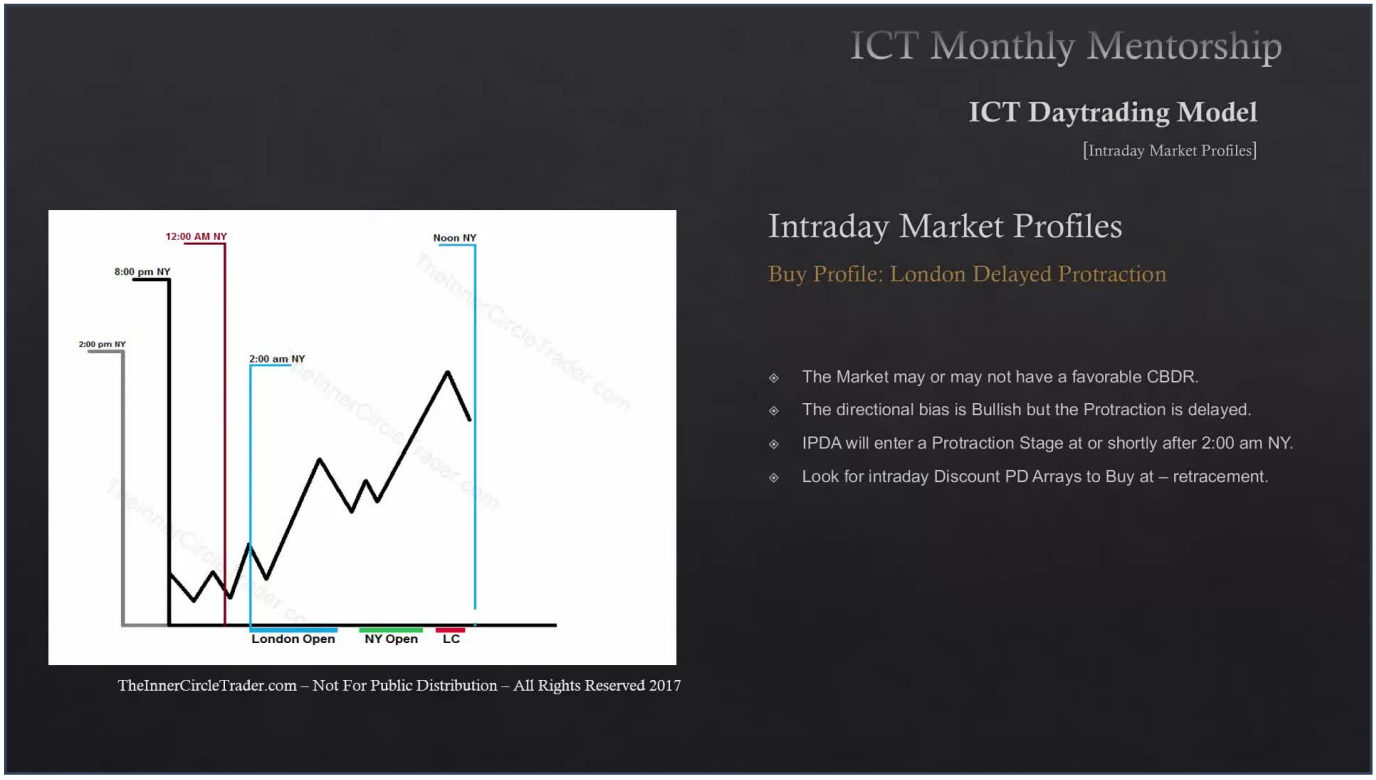
Continuing with our buy profile: London delayed protraction. For this, we're looking for the market to potentially not have a favorable Central Bank Dealers Range. It can be a day where the CBDR is less than 40 Pips or greater than 40 Pips. The filter moves over to the Asian range; if it creates a small range, that helps, but it's not necessary because the profile could be seen with or without the Asian range or the CBDR being in a small consolidation.

MAIN PREMISE AND IPA TIMING FOR DELAYED PROTRACTION BUY

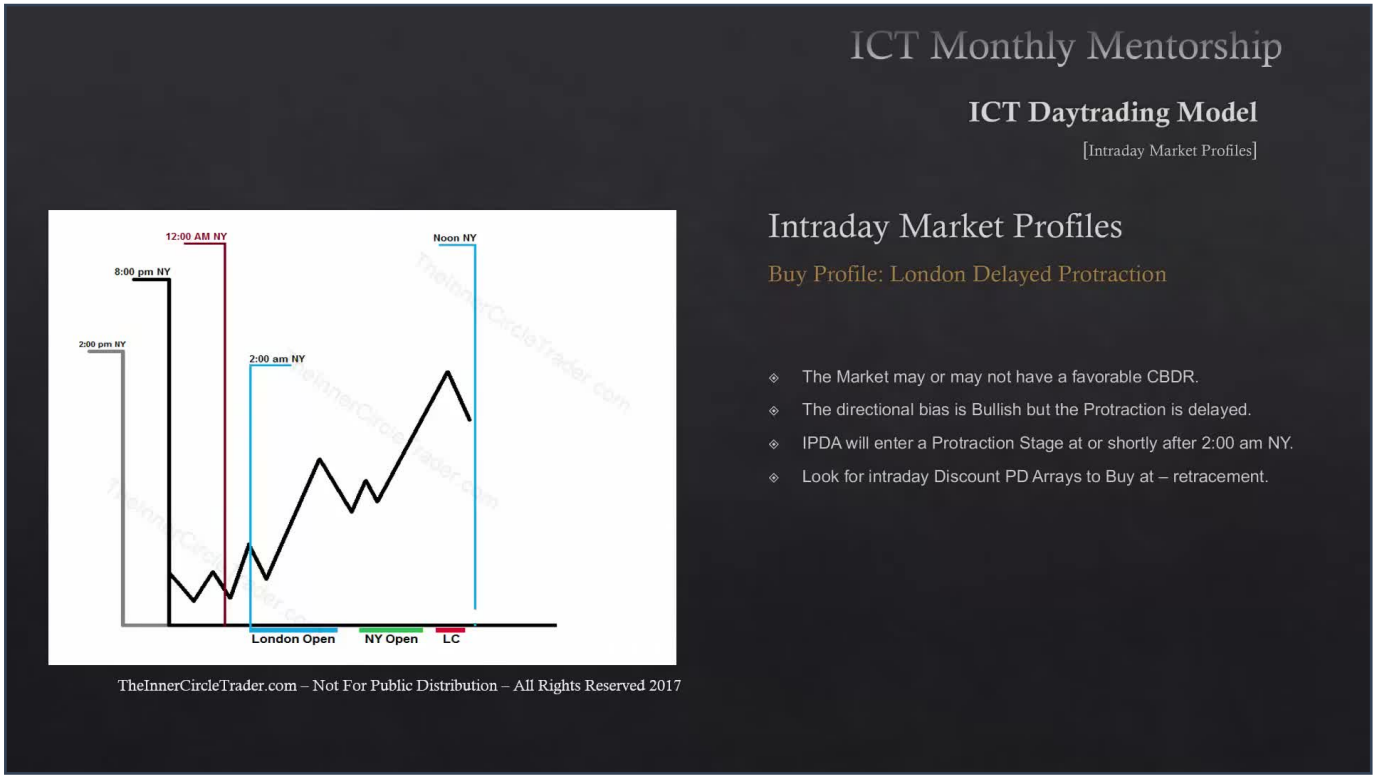
TIMESTAMP: 00:15:18



The main premise is that the directional bias is bullish, but the protraction is delayed. IPA will enter a protraction stage at or shortly after 2:00 AM New York. You're going to be looking for a discount PD (Price Delivery) array to buy at during a retracement that will occur at or shortly after 2:00 AM New York time. So, if we have a market with a questionable CBDR, we don't just toss it out; we look at what's going on at midnight.



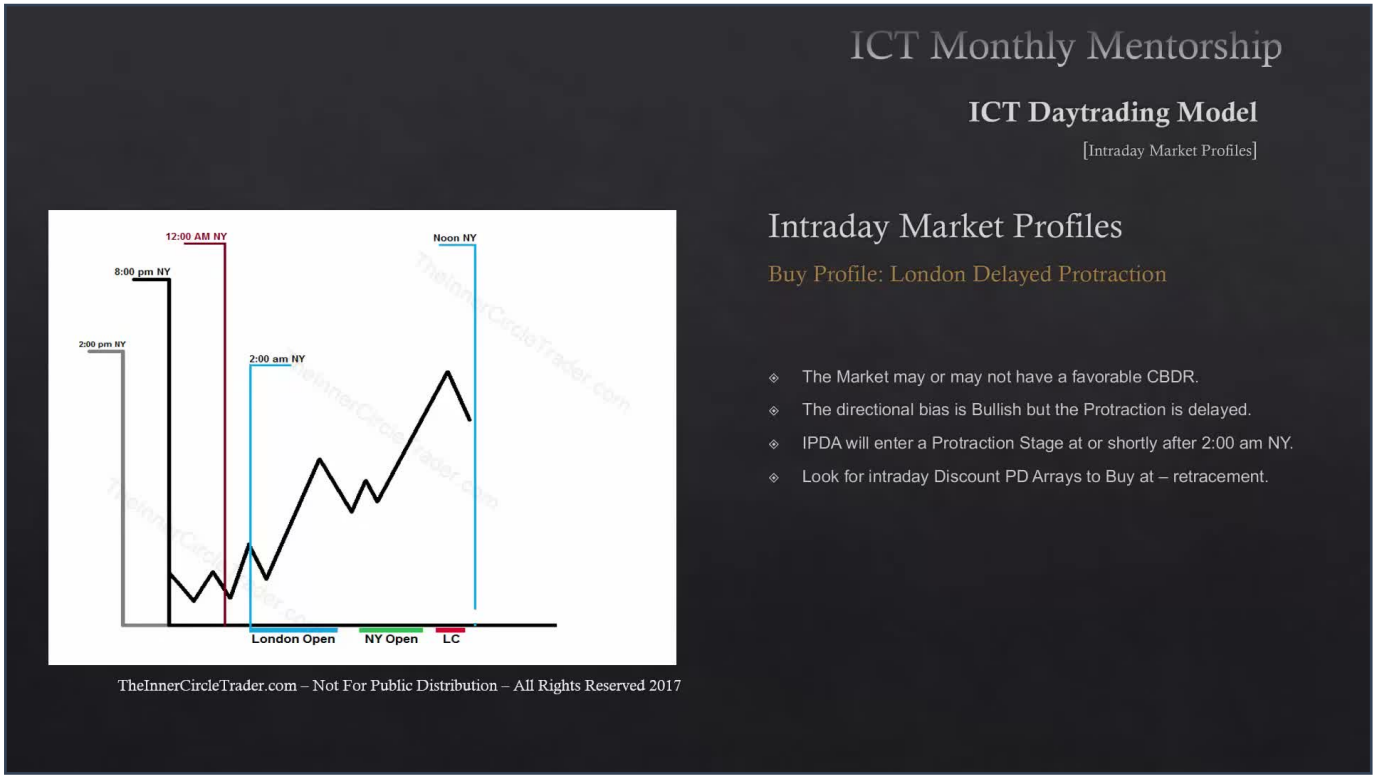
We have to be available at midnight to see the characteristics. If we have a wider than 40 Pips CBDR, we're probably going to be seeing a London delayed protraction stage. The directional bias has to be clearly bullish. If we don't see the characteristics for the London normal protraction buy profile, then we have to look for these types of things for the delay. IPA will enter a protraction stage at or shortly after 2:00 AM.



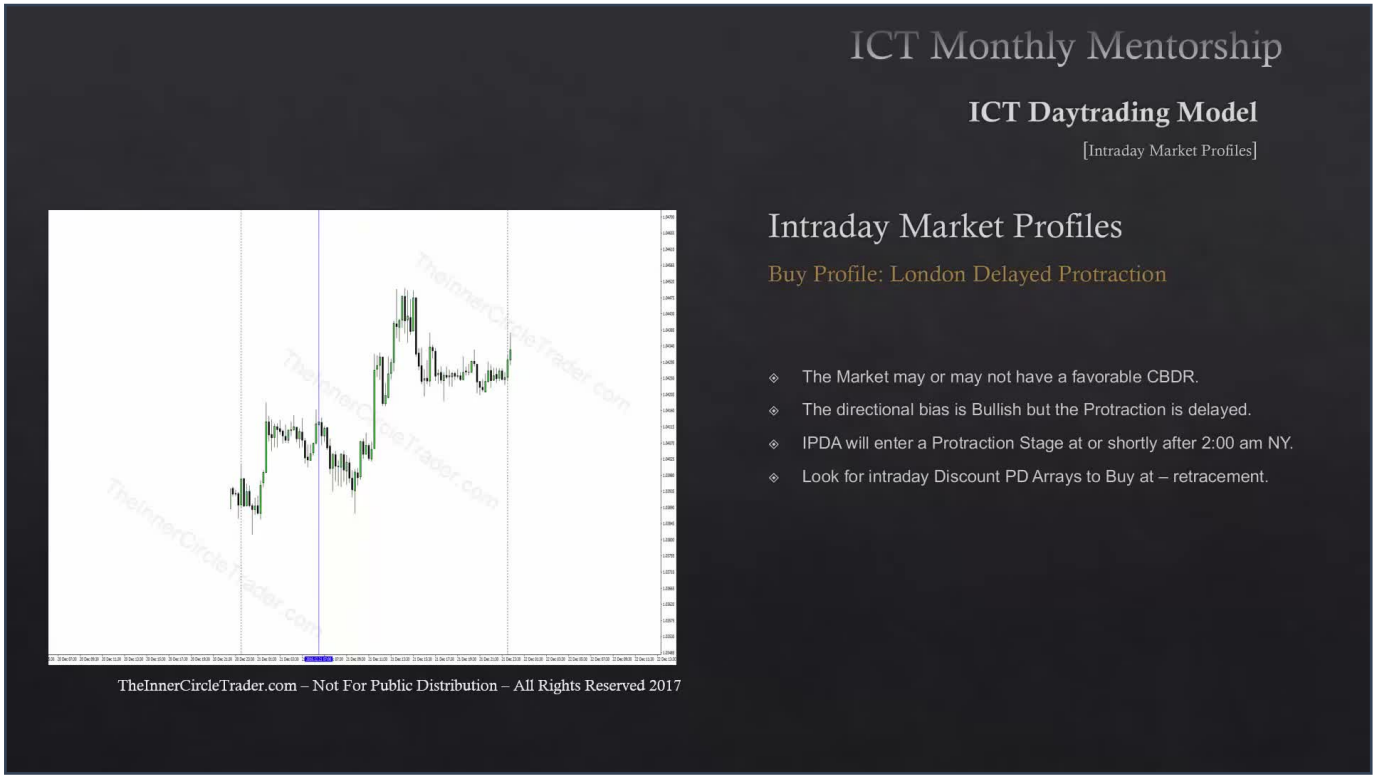
If all normal indications are there at midnight but don't unfold as expected, we can wait for the delayed protraction stage or Judas swing that begins at 2:00 AM. It will retrace lower and seek an intraday discount PD array, which you'll be buying during that retracement. This would be like a classic intraday optimal trade entry long, or a bullish order block closing in a fair value gap below market price, or a liquidity void. That movement lower will create that London entry for a London delayed protraction buy day.

VISUAL EXAMPLE: LONDON DELAYED PROTRACTION BUY

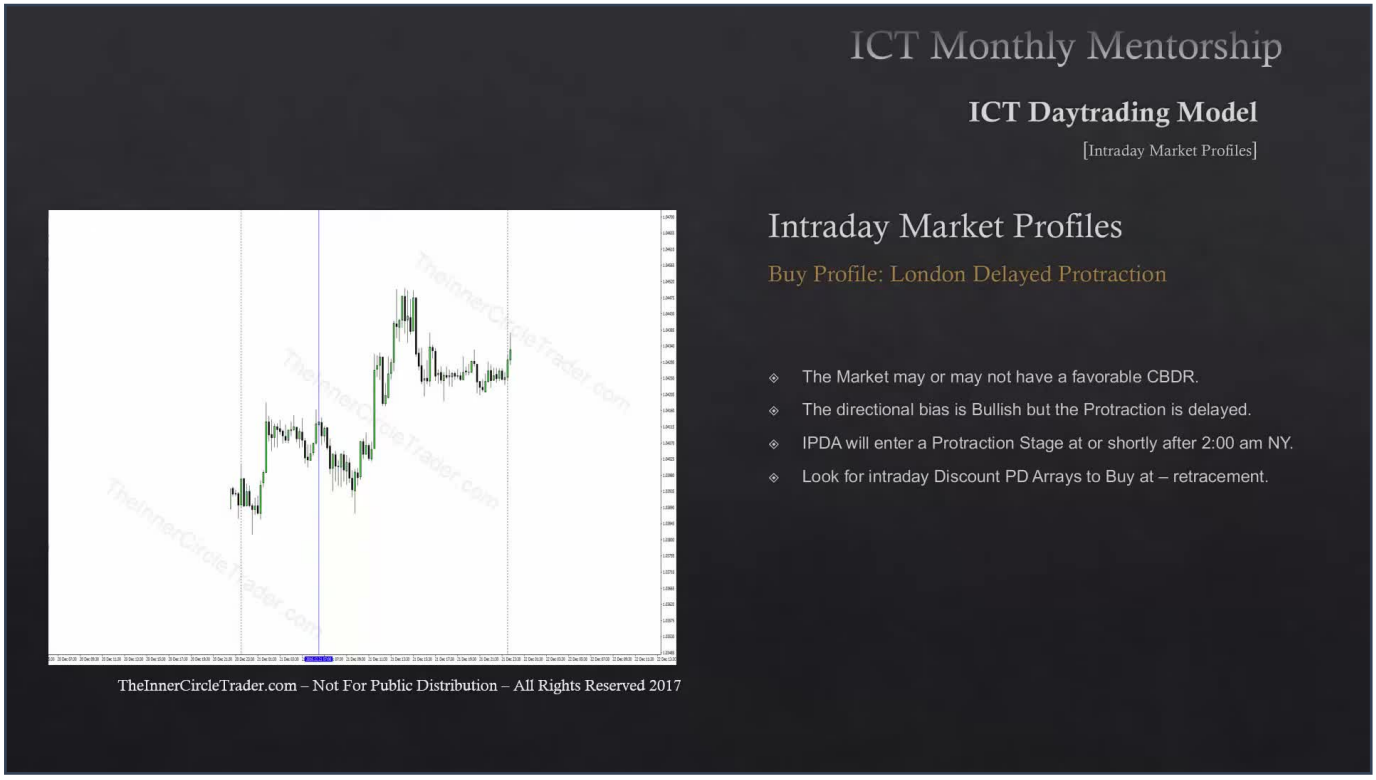
TIMESTAMP: 00:17:14



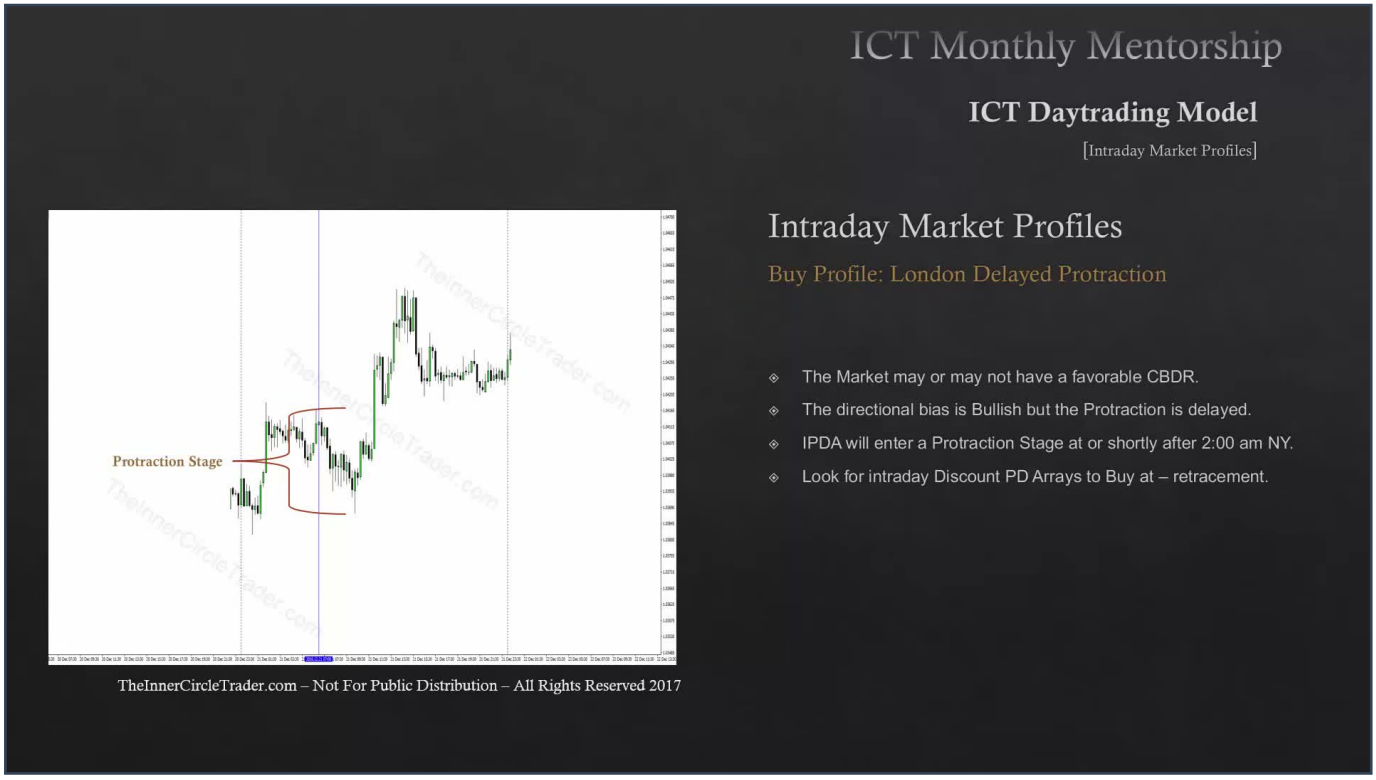
An example is seen here: the market starts up and doesn't give us a clear picture right away. It starts moving higher, doesn't give us that big move lower or initial drop down. So, we have a questionable CBDR or Asian range scenario. We can be looking for our directional bias to unfold, which is a bullish day. IPA will enter a protractionary stage at or shortly after 2:00 AM New York (the blue line here). The market drops down and dips into an intraday discount PD array. In this example, it trades down into a previous down-close candle or bullish order block, creating the London setup to unfold for the rest of the bullish close day, making the high of the day in London close, and then trading off the London close high into consolidation for the daily close.



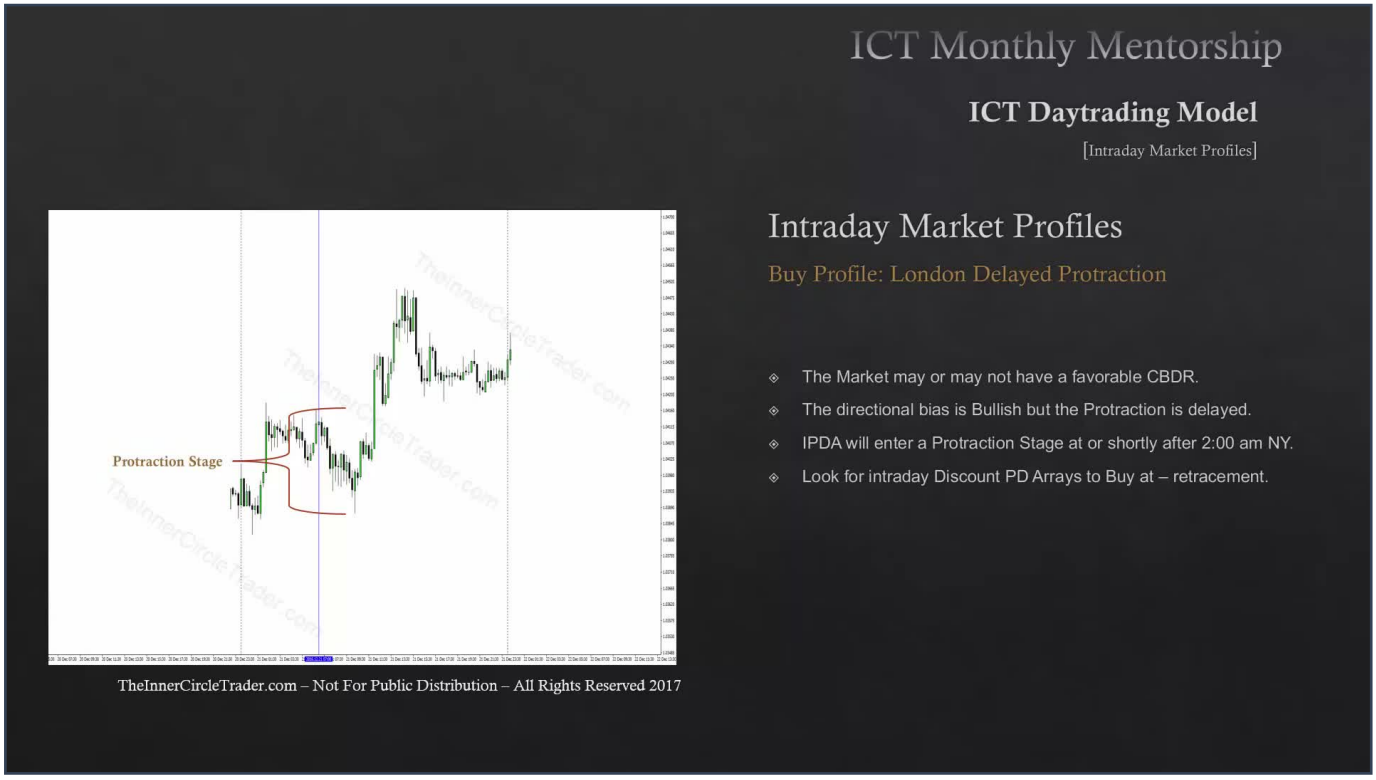
We have two dominant profiles that I like to trade and look for. The characteristics are highly specific and not ambiguous; they have specific criteria. If the first one (London normal protraction, whether buy or sell) characteristics are not there, then I look for justification for the delay in the protraction stage of the London session. The key is 2:00 AM New York.



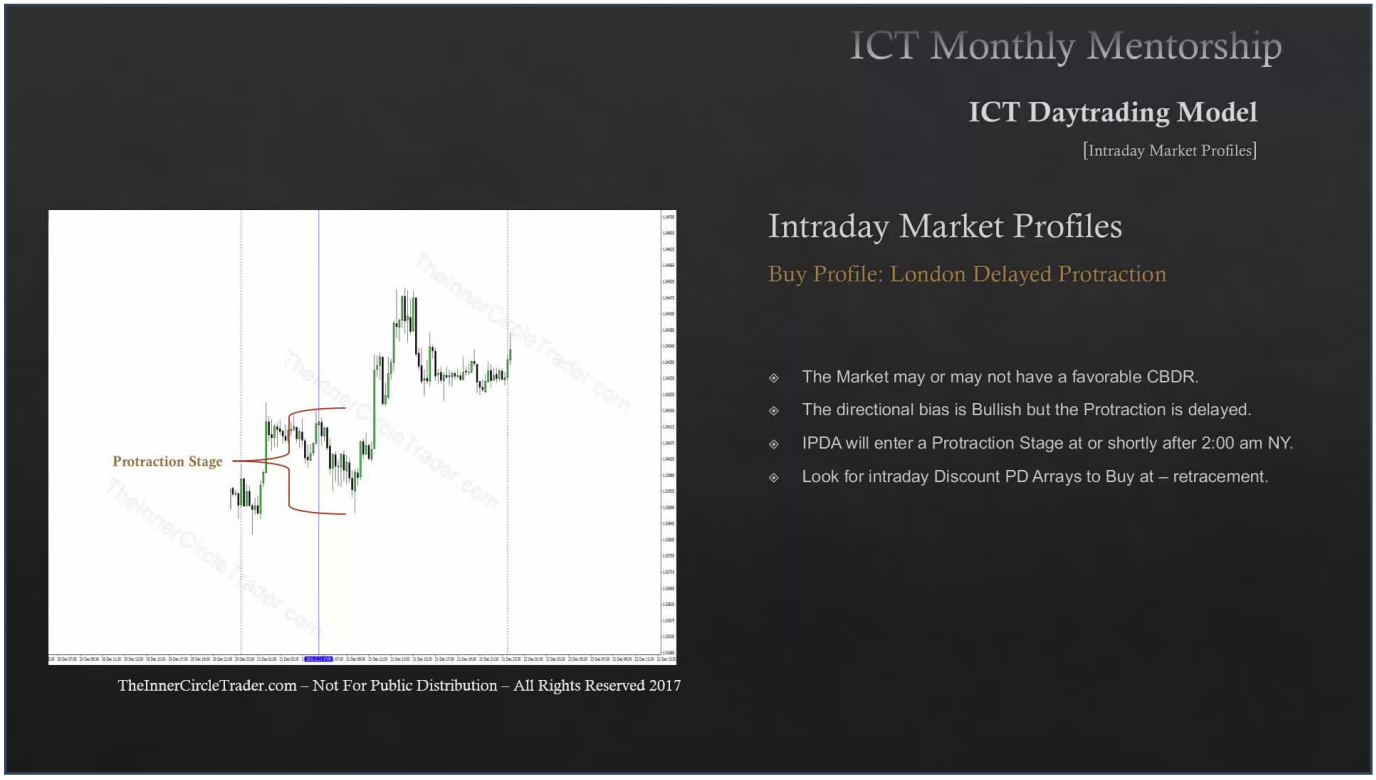
We're looking at 12:00 AM for a classic London protraction or Judas swing. If we don't see that movement in favor of our up-close day with a down move after 12:00 AM (a Judas swing lower), then we're going to be looking for the scenario at 2:00 AM. Here's the criteria: if you're going to be a London trader, you need to be up at 12:00 AM New York time, all the way up to at least 2:30 AM to 3:00 AM. That's the three-hour window. Once you see what's being outlined in both of these profiles, whether you're a buyer or seller, I'm only looking for four types of conditions.



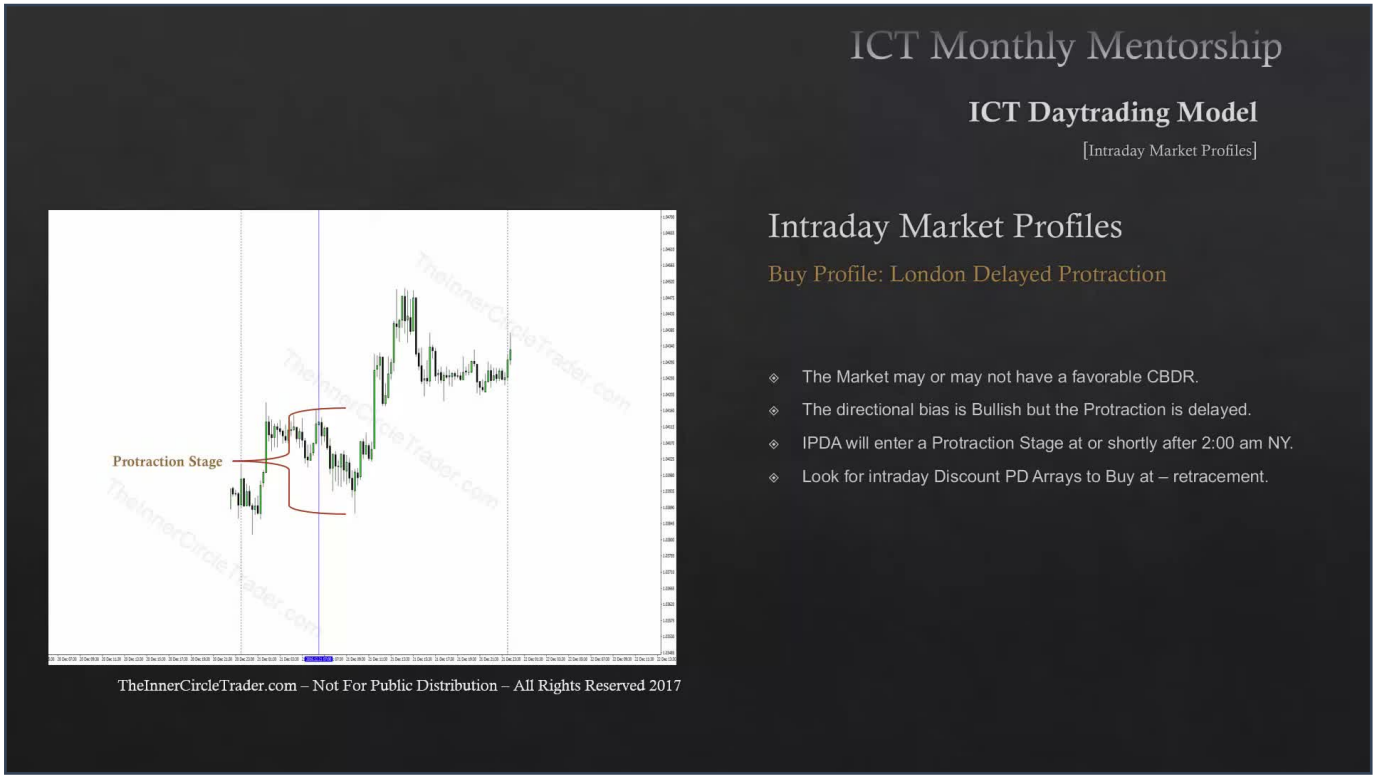
You should already have just two conditions set for London: either I'm going to be bullish or bearish. That's determined by looking at the daily chart and where we're trading off of recently, are we moving higher or lower? If we're going to be expanding higher, then I'm going to be looking for bullish scenarios in London, and I'm going to be using the two criteria for the buy profile: either it's going to be a London normal protraction or a London delayed protraction day. That's it. Nothing else is slipping through the cracks; nothing else is going to surprise me.



I'm looking for two criteria: a scenario to unfold at 12:00 AM going into 2:00 AM. If that does not happen, then I know what I'm looking for at 2:00 AM: the delay of a Judas swing. The only difference is I'm going to be either a buyer or seller based on my higher time frame premise. There's no magic to it than that. I understand that IPA will do these scenarios and it'll also keep you out of trades. There's going to be times where it won't provide you an entry; the market will just probably keep on going up and it'll probably be a 90-pip day or 150-pip day, and you aren't getting in with either one of these profiles. Guess what? That means that's a trade that you missed. Some days I miss it too.



By far and large, if you look for these two characteristics for a buy or sell profile intraday, when you already have a higher time frame notion that price should be higher or lower based on that daily chart, your criteria for trading the London session is as simple as this. There's nothing else that you're looking for. The framework we're going to give you from the higher time frame down will be covered in later teaching, but for here, you're only looking for two things: a movement after 12:00 AM going into 2:00 AM, and if that doesn't happen, then you draw a vertical line at 2:00 AM, then you expect it there. So, between 2:00 AM and 3:00 AM, that Judas swing should occur.



Think about what I just told you: I just loaded your .50 caliber Barrett, ready to take down big game. You're able to find London open setups now with very specific criteria and filters. Go back and look at your old charts, and you'll see that these are going to be the two dominant forces that outline all of the best London open sessions. Until next lesson, I wish you good luck and good trading.